The Distribution of the Crisis

Winners and losers of the adjustment in Bolivia

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Overview

Main messages on the rise in poverty

- In 2025 moderate poverty rose from 38.1% to 44.7% of the population in the INE comparable series, with 808 thousand more poor people in one year.
- That increase was 3.5 times larger than the one during the pandemic. Between 2005 and 2019 the official rate had fallen from 62.3% to 37.2%.
- Slightly more than half of the increase (3.4 of 6.6 points) is due to food, which weighs heavily in the line's basket, rising in price more than the CPI.
- About one third is due to the fall in mean real income, which originated in the loss of purchasing power of labor earnings.
- The dollar shortage is the explanation that accounts for both effects.

Main messages on those who received less and paid more

- The new poor lived mostly in cities, in lower-middle-income households of the third to sixth deciles, close to the poverty line.
- Those households received, in bolivianos, fewer rents from official prices than the upper strata and, relative to their loss, less compensation than the poorest.
- In the dollar shortage, the third to fifth deciles bore the largest net losses in the distribution.
- The fuel decree cost households 7.1% of their real income before compensation and 5.1% after it.
- The 2026 transfers reached 73% of the population, and half of their amount went to people who were not poor.

Main messages on the projection and policy

- The common accounting projects moderate poverty of 46.3% in 2026, within a range of 44.1% to 49.0%.
- The 2027 and 2028 scenarios, with new fuel prices and without extraordinary transfers, give 50.4% and 53.5%, subject to the IMF program.
- With the same budget, a regular transfer that fills the income gap of the poorest reduces extreme poverty and its severity more than the 2026 transfers.
- A social registry with on-demand enrollment and activation rules reaches the lower-middle-income households that fall below the line in each shock.
- Cutting social benefits raises moderate poverty by 2.02 points per point of GDP saved, compared with 0.49 if public investment is cut.

One measure and the data sources

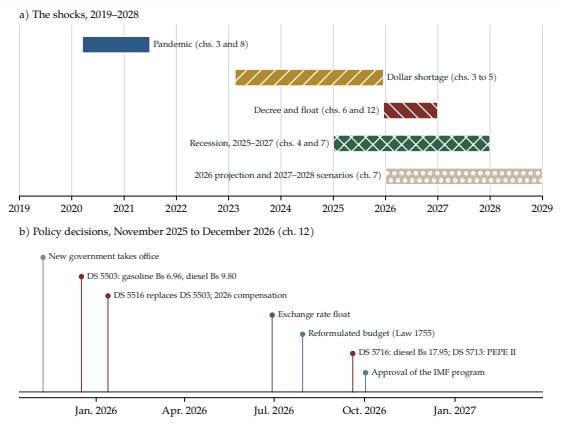
- The shocks from 2020 to 2026 are measured in a single unit, the real income loss of each household relative to a normal period.
- That loss is the change in the purchasing power of household income when the prices of what the household buys and the incomes it receives change.
- In the poorest decile of the EH 2025 reported consumption is 2.5 times income. If the consumption basket cost gives a different sign, both measures are reported.
- The main source is the INE household surveys from 1999 to 2025, with the comparable series for 2021 to 2024.
- Other sources are the ECE, the 2012 and 2024 censuses, the 2014 input-output table, the CPI, the IMF program accounts and NO_2 from the Sentinel-5P satellite.

The five parts

- **What happened** (chapters 1 to 3). Poverty and inequality since 1999, who lost in 2025 and household losses in each shock from 2020 to 2025.
- **Why** (chapters 4 to 7). The causes of the 2025 increase, the rents from official prices, the fuel decree and the float, and poverty from 2026 to 2028.
- **How long it lasts** (chapters 8 and 9). The pandemic, whose increase in poverty risk was 82% reversed by 2021, and entries into and exits from poverty.
- **Where and who** (chapters 10 and 11). Structural poverty, between 54% and 76% of the poor in 2025, transitory poverty and the lack of services across the territory.
- **What to do** (chapters 12 to 14). How the adjustment was decided, what the State did and what it could have done, and the priorities with their cost.

The 2025 and 2026 adjustment came after three years of dollar shortage, in a recession

Shocks and policy decisions, 2019–2028



Sources: supreme decrees, Central Bank of Bolivia, IMF (International Monetary Fund, 2026a) and Chapter 12.

What happened

Twenty-five years of poverty and inequality

- Between 2005 and 2019 official moderate poverty fell from 62.3% to 37.2% and the Gini from 60.2 to 42.5, because incomes at the bottom grew faster.
- The pandemic raised moderate poverty by 1.9 points in 2020, to 39.0%, and the increase was reversed in 2021.
- In 2025 moderate poverty rose by 6.6 points, from 38.1% to 44.7%. With the constant purchasing power line it rose by 4.4 points.
- The difference between the two lines comes from higher food prices, which raised the real value of the official line by 4.9% in 2025.
- The 2025 fall in income was almost uniform across the distribution, and the Gini went from 41.8 to 42.6, a change that is not statistically different from zero.

The new expansion factor raises 2024 moderate poverty from 37.6% to 38.1%

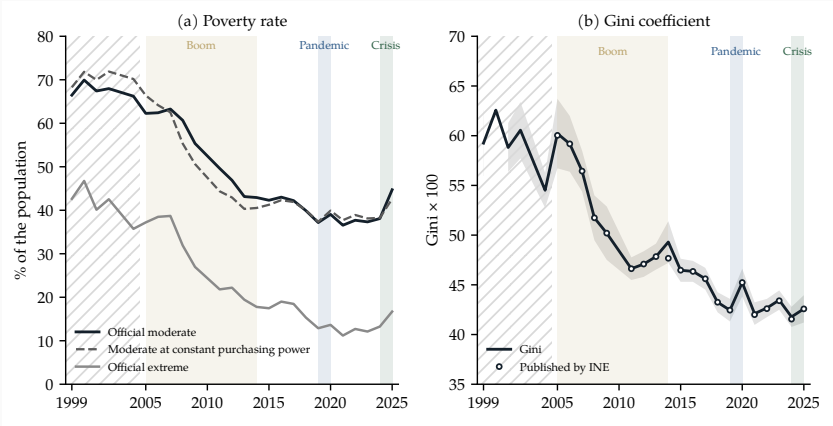
Poverty and inequality with the published and comparable series, 2019–2025

	Moderate poverty		Extreme poverty		Constant purchasing power	Gini	
Year	Published	Comparable	Published	Comparable	Moderate	Published	Comparable
2019	37.2		12.9		37.4	42.5	
2020	39.0		13.7		39.9	45.2	
2021	36.4	36.6	11.1	11.2	37.7	42.0	42.1
2022	37.7	37.7	12.5	12.7	38.9	42.6	42.7
2023	36.5	37.3	11.9	12.1	38.1	43.4	43.5
2024	37.6	38.1	12.8	13.3	38.2	41.5	41.8
2025	44.7	44.7	16.7	16.7	42.6	42.6	42.6

Source: author's calculations using the EH (INE).

Poverty fell until 2019, rose with the pandemic and had its largest annual increase in 2025

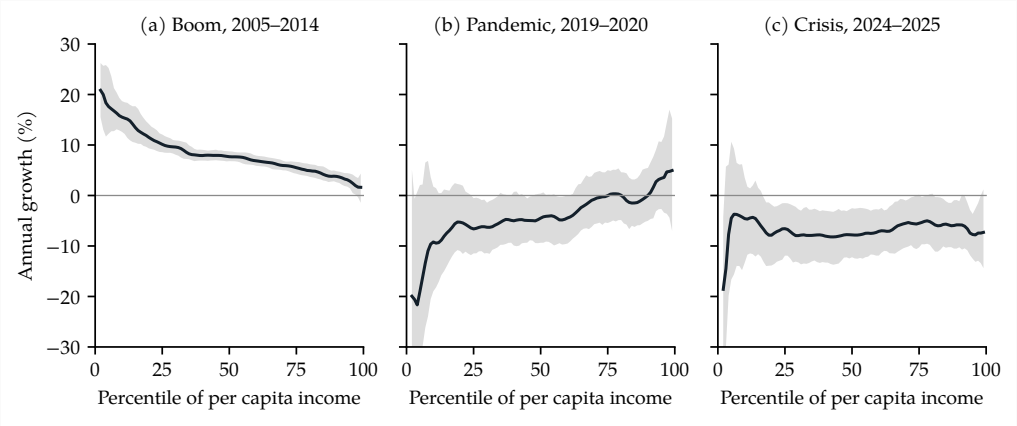
Poverty and income inequality, 1999–2025



Source: author's calculations using the MECOVI, the EH (INE) and the SEDLAC files.

The boom favored the bottom and the 2025 crisis reduced the income of almost everyone

Growth incidence curves of real per capita income in three episodes



Source: author's calculations using the EH (INE) and the SEDLAC files.

In the boom the income of the poorest 40% grew 5.6 points per year more than the mean (1/2)

Annual growth of real per capita income by episode (%)

Episode	Mean	Median	Poorest 40%	Richest 10%	Premium of the poorest 40%	Pro-poor growth rate
Boom (2005–2014)	4.8	7.7	10.4	2.5	5.6	10.9
	(0.8)	(0.5)	(0.9)	(1.4)	(0.9)	(1.0)
Slowdown (2014–2019)	−1.4	0.6	2.9	−4.9	4.3	3.9
	(0.7)	(0.6)	(0.8)	(1.4)	(0.8)	(1.1)
Pandemic (2019–2020)	−0.2	−4.2	−6.8	6.2	−6.6	−6.7
	(2.6)	(2.4)	(3.1)	(4.7)	(2.7)	(4.4)
Recovery (2020–2022)	−1.8	0.7	1.5	−5.2	3.4	1.8
	(1.3)	(1.4)	(1.8)	(2.1)	(1.5)	(2.4)

Source: author's calculations using the EH (INE) and the SEDLAC files.

In the boom the income of the poorest 40% grew 5.6 points per year more than the mean (2/2)

Annual growth of real per capita income by episode (%)

Episode	Mean	Median	Poorest 40%	Richest 10%	Premium of the poorest 40%	Pro-poor growth rate
Onset of the crisis (2022–2024)	0.5	0.9	1.5	−0.1	1.0	3.5
	(1.0)	(1.2)	(1.6)	(1.4)	(1.1)	(2.1)
Recession (2024–2025)	−5.7	−8.0	−7.1	−3.6	−1.5	−7.6
	(2.4)	(2.6)	(3.0)	(4.3)	(2.2)	(3.4)
2005–2019	2.5	5.1	7.7	−0.2	5.1	8.0
	(0.4)	(0.3)	(0.5)	(0.7)	(0.5)	(0.6)
2019–2025	−1.4	−1.6	−1.4	−1.4	0.1	−0.9
	(0.4)	(0.4)	(0.5)	(0.8)	(0.4)	(0.7)

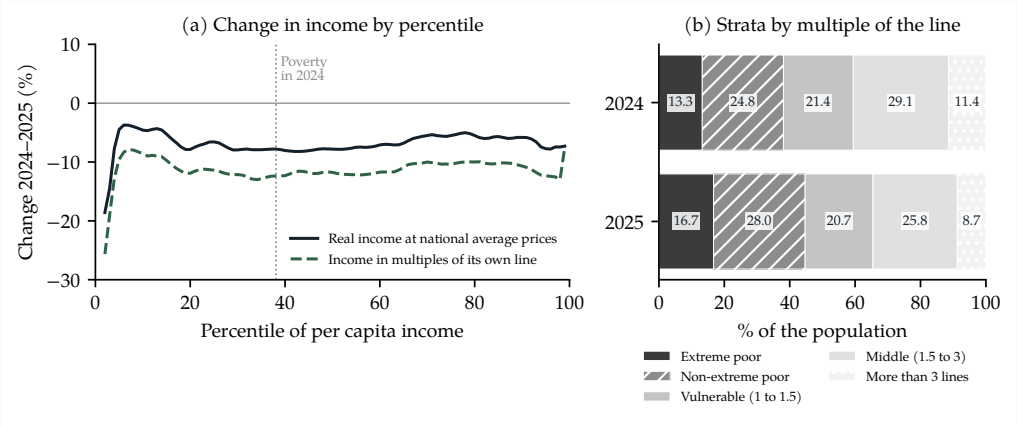
Source: author's calculations using the EH (INE) and the SEDLAC files.

Who lost in 2025

- Mean per capita income grew 14.3% in nominal terms and the CPI 20.4%, so mean real income fell 5.1%.
- Measured in multiples of each household's line, income fell 11.7% at the median, a fall large enough to explain the 6.6-point increase in moderate poverty.
- 77.4% of the new poor live in urban areas, and Santa Cruz and La Paz contributed half of the increase.
- Households whose head completed secondary school contributed 43.5% of the new poor, the highest share among schooling groups.
- People in households with moderate or severe food insecurity went from 23.5% in 2023 to 28.4% in 2024 and to 23.3% in 2025.

Income fell more when measured against the poverty line and the middle stratum shrank

The fall in income and income strata, 2024–2025



Source: author's calculations using the EH (INE).

Moderate poverty rose in almost all population groups (1/3)

Profile of official moderate poverty, 2024 and 2025

		Poverty rate (%)			% of population		% of new poor		
Group	Category	2024	2025	Change	2024	2025	Total	Due to rate	Due to size
Area	rural	52.9	58.1	5.1	30.8	30.6	22.6	23.3	−0.7
	urban	31.5	38.8	7.3	69.2	69.4	77.4	75.1	2.3
Department	Beni	35.9	51.7	15.7	4.5	4.5	10.8	10.5	0.3
	Chuquisaca	50.0	52.4	2.4	5.3	5.2	1.7	1.9	−0.2
	Cochabamba	41.7	43.9	2.2	17.9	17.9	6.2	5.7	0.5
	La Paz	45.5	50.8	5.3	26.2	26.1	20.5	20.5	0.1
	Oruro	37.2	53.8	16.6	5.0	5.0	12.3	12.2	0.1
	Pando	33.4	43.8	10.4	1.2	1.2	2.0	1.9	0.1
	Potosí	47.4	54.8	7.3	7.5	7.4	8.1	8.1	0.0
	Santa Cruz	25.8	32.8	7.0	27.8	27.9	29.7	28.7	1.0
	Tarija	31.5	44.3	12.8	4.7	4.6	8.7	8.8	−0.1

Source: author's calculations using the EH 2024 (2025 Revision expansion factors) and the EH 2025 (INE).

Moderate poverty rose in almost all population groups (2/3)

Profile of official moderate poverty, 2024 and 2025

		Poverty rate (%)			% of population		% of new poor		
Group	Category	2024	2025	Change	2024	2025	Total	Due to rate	Due to size
Head's sex	man	38.9	45.1	6.1	73.9	71.4	51.7	67.2	−15.5
	woman	35.7	43.8	8.1	26.1	28.6	48.3	31.2	17.1
Age	0 to 14	50.4	58.6	8.2	27.2	26.7	29.6	32.9	−3.3
	15 to 24	39.0	44.3	5.3	16.9	16.0	7.9	13.2	−5.3
	25 to 44	32.8	40.0	7.1	28.4	28.4	30.3	29.8	0.5
	45 to 64	30.2	35.3	5.0	19.1	19.6	17.1	14.2	2.9
	65 or older	31.9	39.9	8.0	8.5	9.3	15.0	10.0	5.0
Head's years of schooling	0 to 5	51.3	56.4	5.1	25.3	25.0	17.3	19.1	−1.8
	6 to 11	45.3	50.8	5.4	22.8	22.5	16.0	18.3	−2.3
	12 (secondary diploma)	37.8	48.5	10.7	25.2	25.7	43.5	39.8	3.7
	13 or more	19.6	25.2	5.6	26.7	26.9	23.3	22.0	1.2

Source: author's calculations using the EH 2024 (2025 Revision expansion factors) and the EH 2025 (INE).

Moderate poverty rose in almost all population groups (3/3)

Profile of official moderate poverty, 2024 and 2025

		Poverty rate (%)			% of population		% of new poor		
Group	Category	2024	2025	Change	2024	2025	Total	Due to rate	Due to size
Head's job category	employee	24.7	32.4	7.7	30.2	30.4	35.8	34.4	1.4
	cooperative member	26.1	32.4	6.3	0.6	0.7	1.0	0.6	0.4
	self-employed	47.7	53.9	6.2	49.3	49.4	47.7	45.2	2.5
	employer	20.2	25.0	4.9	4.5	3.9	0.8	3.3	−2.4
	unpaid family worker	48.4	55.6	7.2	0.8	1.3	4.7	0.9	3.8
	not employed	38.1	43.9	5.7	13.2	13.1	10.9	11.2	−0.3
	domestic worker	45.1	45.7	0.6	1.4	1.3	−0.9	0.1	−1.0
Head's mother tongue	Spanish or other	31.7	39.3	7.6	67.5	69.6	88.9	75.5	13.4
	indigenous mother tongue	51.3	57.1	5.8	32.5	30.4	11.3	27.8	−16.6

Source: author's calculations using the EH 2024 (2025 Revision expansion factors) and the EH 2025 (INE).

The urban increase is significant and Oruro, Beni and Tarija have the largest increases

Change in official moderate poverty 2024–2025 with its sampling uncertainty

Domain	2024	2025	Change	S.E.	95% CI
Bolivia	38.1	44.7	6.6	1.40	[3.9, 9.4]
Urban	31.5	38.8	7.3	1.15	[5.1, 9.6]
Rural	52.9	58.1	5.1	3.40	[−1.5, 11.8]
Chuquisaca	50.0	52.4	2.4	3.69	[−4.8, 9.7]
La Paz	45.5	50.8	5.3	3.45	[−1.5, 12.1]
Cochabamba	41.7	43.9	2.2	3.22	[−4.1, 8.5]
Oruro	37.2	53.8	16.6	3.95	[8.9, 24.3]
Potosí	47.4	54.8	7.3	3.65	[0.2, 14.5]
Tarija	31.5	44.3	12.8	3.55	[5.8, 19.7]
Santa Cruz	25.8	32.8	7.0	2.65	[1.8, 12.2]
Beni	35.9	51.7	15.7	5.65	[4.6, 26.8]
Pando	33.4	43.8	10.4	5.69	[−0.8, 21.5]

Source: author's calculations using the EH 2024 (2025 Revision expansion factors) and the EH 2025 (INE).

Food insecurity fell in 2025 among the poor and the non-poor and in both areas

Food insecurity by FIES raw score, 2023–2025

Year	At least one	4 or more	7 or 8	4+ poor	4+ non-poor	4+ urban	4+ rural
2023	56.4	23.5	7.1	33.3	17.9	20.4	30.7
2024	67.2	28.4	9.7	40.0	21.3	24.3	37.5
2025	56.0	23.3	7.4	30.4	17.5	20.9	28.6

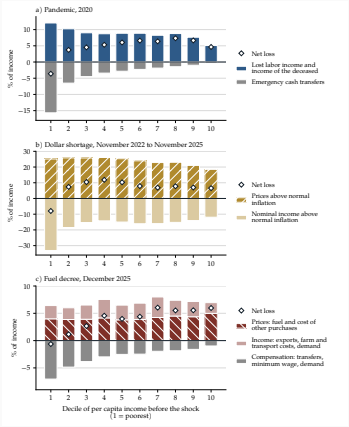
Source: author's calculations using the food security module of the EH 2023, 2024 (2025 Revision expansion factors) and 2025 (INE).

The accounting of the shocks, 2020–2025

- With a single measure, the pandemic, the dollar shortage and the decree caused gross losses of between 7.1% and 7.5% of household income.
- The dollar shortage had the largest gross flows and no compensation. Excess inflation took 21.9% of income and nominal income restored 14.4 points.
- In the shortage, the third to fifth deciles bore the largest net losses, between 10.3% and 11.8% of their income, compared with 6.6% in the richest decile.
- Compensation returned about one quarter of the gross loss in the pandemic and the decree. With the decree it covered 39% and 36% in the fifth and sixth deciles.
- In all three shocks, those who fell below the line came from the middle deciles. With the decree, 86% came from the fourth to sixth deciles.

Compensation reduced the net loss more in the lower half of the distribution

Real income loss by decile in three episodes, 2020–2025



Source: author's calculations using the EH 2020, 2022 and 2025 and the consumer price index of the National Statistics Institute (INE).

The accounting attributes 6.0 more points of poverty to the dollar shortage (1/2)

Losses, poverty and inequality by episode, 2020–2025

	Loss (% of income)	Moderate poverty (points)	Extreme poverty (points)	Gini (points)	People below the line (thousands)	Bs million per month
Pandemic, 2020 (EH 2020)						
Loss of labor income and of the income of the deceased	7.4	5.5	3.1	1.7	636	1,845
Emergency cash transfers	−1.8	−1.8	−1.2	−0.7	−216	−446
Net loss	5.6	3.7	1.7	0.7	422	1,398
Dollar shortage, Nov. 2022–Nov. 2025 (EH 2022)						
Prices above normal inflation	21.9	15.3	8.8	1.7	1,807	4,972
Nominal incomes above normal inflation	−14.4	−6.7	−3.5	−0.9	−791	−3,277
Net loss	7.5	6.0	2.0	0.3	713	1,695

Source: author's calculations using the EH 2020, 2022 and 2025 and the consumer price index (INE).

The accounting attributes 6.0 more points of poverty to the dollar shortage (2/2)

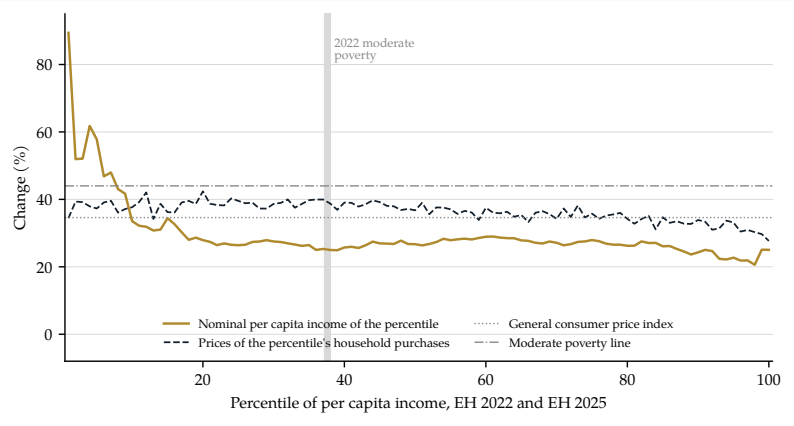
Losses, poverty and inequality by episode, 2020–2025

	Loss (% of income)	Moderate poverty (points)	Extreme poverty (points)	Gini (points)	People below the line (thousands)	Bs million per month
Fuel decree, Dec. 2025 (EH 2025)						
Prices: fuel and cost of other purchases	4.4	2.4	1.5	−0.2	291	967
Incomes: exports, farm and transport costs, demand	2.6	1.6	1.2	0.4	197	578
Gross loss	7.1	4.0	2.7	0.2	475	1,544
Compensation: transfers, minimum wage, demand	−2.0	−1.6	−1.2	−0.5	−195	−431
Net loss	5.1	2.6	1.2	−0.3	309	1,114

Source: author's calculations using the EH 2020, 2022 and 2025 and the consumer price index (INE).

Outside the bottom tail, nominal incomes grew less than prices

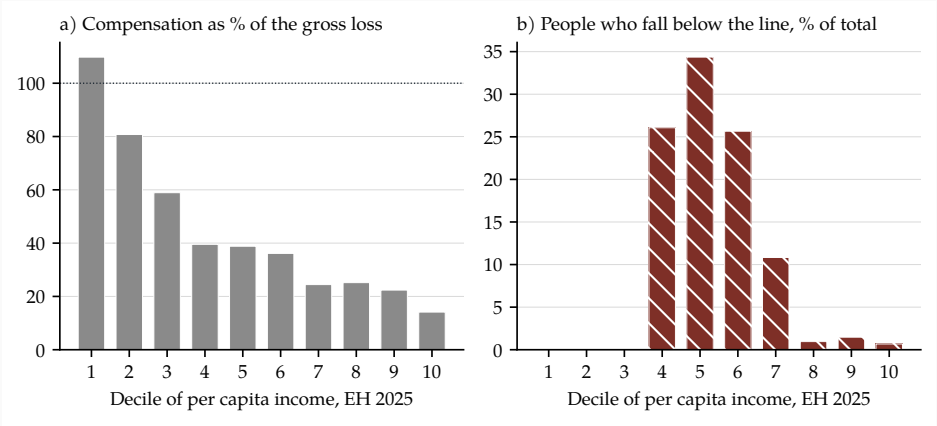
Dollar shortage, nominal income and prices by percentile, November 2022 to November 2025



Source: author's calculations using the EH 2022 and 2025 and the consumer price index (INE).

Compensation covered less in the deciles from which the new poor came

Decree compensation and people who fall below the moderate line, by decile



Source: author's calculations using the EH 2025 (INE).

Why

Why poverty rose in 2025

- Of the 6.6-point increase in moderate poverty, 3.4 points come from the poverty line basket becoming more expensive than the CPI, slightly more than half.
- The fall in mean real income contributes 2.2 points, about one third, and the distributional change 1.0 points, which is not statistically distinguishable from zero.
- The fall came from labor. Real per capita labor income fell 6.0% and per capita non-labor income remained constant.
- The employment rate rose from 66.7% to 67.4% and real earnings per worker fell 9.1%, in similar proportion among wage earners and the self-employed.
- Fuel and climate do not explain most of the increase, because real income in transport rose 5.1% and poverty rose mainly in cities.

With equal period and coverage, EH and ECE measure similar falls in labor income (1/2)

Poverty and labor income figures, by source

Indicator	Source	Population	Line or deflator	Period	Value
Poverty (% of people; change in points)					
Moderate poverty	EH	National	Official line	2024–2025	38.1 to 44.7 (+6.6)
Moderate poverty with CPI-indexed line	EH	National	2024 line indexed by the CPI	2024–2025	38.1 to 41.3 (+3.2)
Urban moderate poverty	EH	Urban	Official line	2024–2025	31.5 to 38.8 (+7.3)
Urban poverty by labor income	ECE	Capitals and conurbations	Official urban line	2023Q4–2025Q4	43.1 to 53.9 (+10.8)
Urban poverty by labor income	ECE	Capitals and conurbations	2022 urban line indexed by the CPI	2023Q4–2025Q4	43.8 to 51.2 (+7.4)

Source: author's calculations using the EH 2022 to 2025 and the ECE 2022Q4 to 2025Q4.

With equal period and coverage, EH and ECE measure similar falls in labor income (2/2)

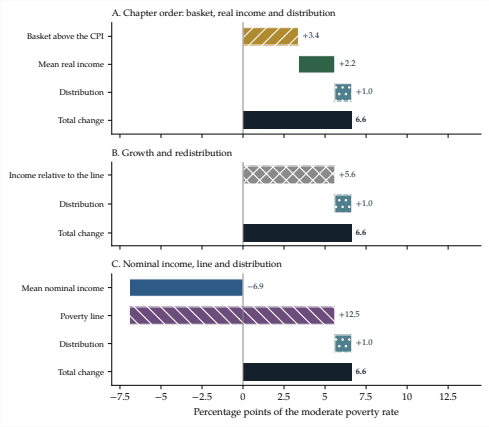
Poverty and labor income figures, by source

Indicator	Source	Population	Line or deflator	Period	Value
Real labor income (change, %)					
Mean labor income per worker	EH	National	CPI	2024–2025	−9.1
Household per capita labor income	EH	National	CPI	2024–2025	−6.0
Household per capita labor income	EH	Urban	CPI	Nov. 2022–Nov. 2025	−6.2
Household per capita labor income	ECE	Capitals and conurbations	CPI	Nov. 2022–Nov. 2025	−12.7
Mean labor income per worker	ECE	Capitals and conurbations	CPI	2022Q4–2025Q4	−21.2
Mean labor income per worker	ECE	Capitals and conurbations	CPI	2024Q4–2025Q4	−11.7
Mean labor income per worker	ECE	National	CPI	2024Q4–2025Q4	−8.7

Source: author's calculations using the EH 2022 to 2025 and the ECE 2022Q4 to 2025Q4.

The three decompositions of the 2025 increase give the same split among its causes

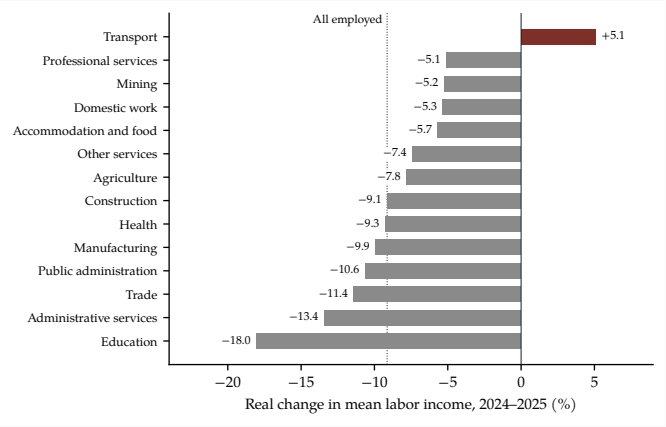
Three ways of decomposing the increase in moderate poverty, 2024–2025



Source: author's calculations using the EH 2024 (2025 Revision expansion factors) and the EH 2025.

The fall in real labor income reached almost all sectors with the most workers

Real change in mean labor income by sector, 2024–2025



Source: author's calculations using the EH 2024 and the EH 2025.

The dollar shortage is the main explanation of the five evaluated (1/2)

The five explanations of the increase in poverty in 2025

Explanation	Prediction	Outcome	Interpretation
End of gas rents	Less employment, mostly in the public sector and construction	Employment rose in the EH (66.7% to 67.4%) and in the ECE (69.8% to 74.0%); urban unemployment fell (4.8% to 3.1%)	Underlying cause, through reserves and the deficit; small direct effect on 2025 employment
Dollar shortage	The basket rises more than the CPI; larger losses in activities with imported inputs	Basket above the CPI: 3.4 of 6.6 points; exits to informal jobs did not rise more in activities with more imported inputs (0.6, standard error 0.44)	Consistent with the higher cost of the basket, together with the weather, and with the general fall in real income

Source: earlier sections of the chapter.

The dollar shortage is the main explanation of the five evaluated (2/2)

The five explanations of the increase in poverty in 2025

Explanation	Prediction	Outcome	Interpretation
Fuels	Larger losses in transport and in activities that use more fuel	Real income in transport: +5.1%; exits to informal jobs by fuel content: −0.4 (0.25)	Does not explain most of the 2025 increase
Weather shocks	Increase in rural areas and in farm households	Urban: +7.3 (1.1); rural: +5.1 (3.4); farm head: +4.1 (3.2); others: +7.8 (1.2)	The increase was mostly urban; the weather may have raised food prices
Measurement	Part of the measured change does not reflect a change in living standards	The fixed basket of the line weights food more than the CPI (the 3.4 points in the dollar shortage row); published series: +7.1, comparable series: +6.6; ECE: +10.8 and +7.4	The direction of the change does not depend on the survey, the line or the expansion factors

Source: earlier sections of the chapter.

Who gained from the rents of official prices

- In 2025 the fuel subsidy was equivalent to 7.3% of household income, and households received 42.6% of that subsidy.
- In bolivianos, the richest 20% captured 39% of the household subsidy. As a share of income, incidence ranged from 3.5% to 5.0% across all deciles.
- The third to sixth deciles, which hold 40% of the population, received 28.7% of the household subsidy, compared with 23.9% for the richest decile.
- The largest gains went to boliviano debtors, to exporters in the parallel market and to dollar depositors.
- Those gains equal 19.3% of annual household income in 2024 and 2025, up to 20.5% and 4.9%, respectively, and the survey does not record them.

The Treasury, YPFB and the BCB paid the rents from official prices (1/2)

Who paid and who received official-price rents and gains from the crisis and adjustment (Bs millions)

	Rents before the adjustment		Gains from the crisis and the adjustment			
	Fuel subsidy 2025	Official dollars to import fuel 2025	Remittances at the parallel rate 2025	Exports at the parallel rate 2025 (upper bound)	Inflation above normal 2024–2025	Revaluation of dollar deposits (float)
General Treasury of the Nation	−14,940					
YPFB, difference between the subsidy and the fiscal cost	−4,118					
Central Bank (international reserves)		−12,159				
State hydrocarbon and electricity companies	1,744					
Exporters	1,687			*53,657*		
Buyers of dollars in the parallel market			−7,961	*−53,657*		
Banks					−2,300	
Boliviano depositors					−48,154	

Source: author's calculations using data from YPFB, Fundación Jubileo, INE, BCB, ASFI and the EH 2025.

The Treasury, YPFB and the BCB paid the rents from official prices (2/2)

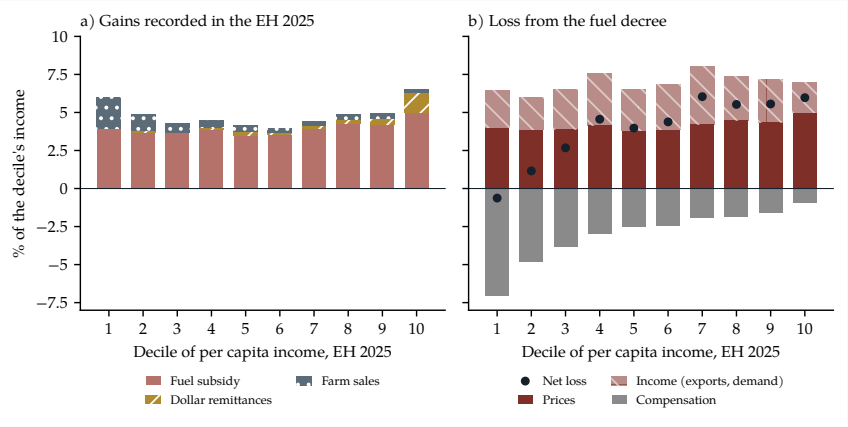
Who paid and who received official-price rents and gains from the crisis and adjustment (Bs millions)

	Rents before the adjustment		Gains from the crisis and the adjustment			
	Fuel subsidy 2025	Official dollars to import fuel 2025	Remittances at the parallel rate 2025	Exports at the parallel rate 2025 (upper bound)	Inflation above normal 2024–2025	Revaluation of dollar deposits (float)
Dollar depositors						12,874
Boliviano debtors					50,454	
Smuggling and diversion	5,717					
Households, as fuel buyers	8,123					
Households receiving dollar remittances			7,961			
Government consumption and investment	1,149					
Buyers of imported fuel, unallocated	637	12,159				
Size (Bs million)	19,058	12,159	7,961	*53,657*	50,454	12,874
Size (% of annual household income)	7.3	4.7	3.0	*20.5*	19.3	4.9

Source: author's calculations using data from YPFB, Fundación Jubileo, INE, BCB, ASFI and the EH 2025.

In every decile the gross loss from the decree exceeded the subsidy it received

Gains recorded in the survey and loss from the fuel decree, by decile, EH 2025



Source: author's calculations using the EH 2025; Table D.21 in Appendix D.4.

The fuel decree and the float

- DS 5503 of December 2025 raised gasoline from Bs 3.74 to Bs 6.96 and diesel from Bs 3.72 to Bs 9.80 per liter, and DS 5516 confirmed those prices.
- In the first weeks, the increase in fuel spending equals 69% of the increase implied by fixed quantities, with a confidence interval of 29% to 108%.
- The gross loss from the decree, 7.1% of real income, exceeds the 5.0% of the standard method because it adds the export and domestic demand channels.
- The net loss is 5.1% and raises moderate poverty by 2.6 points. Compensation covered 81% of the loss in the second decile and 36% in the sixth.
- With the float, the official rate averaged Bs 11.81 from 1 to 22 October 2026, and the CPI fell 0.9% between June and September 2026.

The richest quintile accounted for 38.7% of household spending on fuel

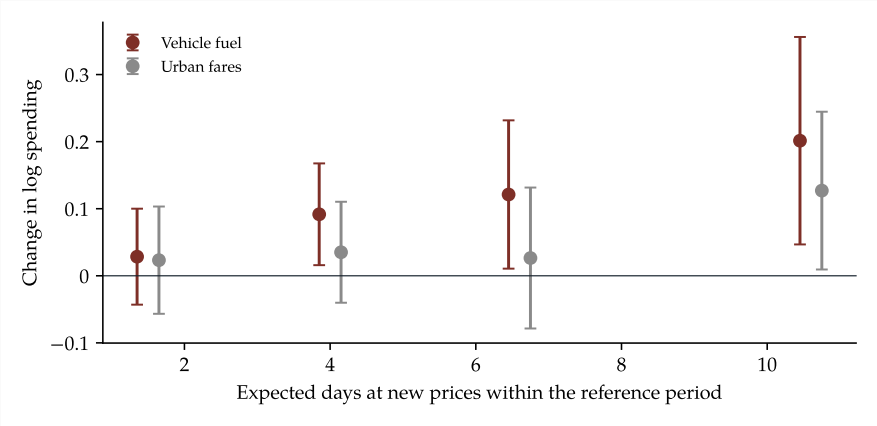
Fuel, fares and transfers by decile of per capita income, EH 2025

Decile	People in households with a vehicle	Fuel spending	Fare spending	Fuel / income	Renta Dignidad coverage	Renta Dignidad	Juancito Pinto
1	33.1	7.4	5.3	4.1	22.2	8.3	14.4
2	30.5	6.9	5.4	2.2	21.4	10.4	14.1
3	29.6	6.2	7.3	1.7	19.6	9.5	13.2
4	30.2	6.4	9.7	1.3	19.6	8.0	12.9
5	27.1	6.5	8.0	1.3	22.2	8.4	11.4
6	31.1	7.8	11.8	1.1	22.4	8.6	10.2
7	37.3	10.1	12.5	1.2	22.3	8.6	8.4
8	36.6	10.0	13.4	1.0	26.8	11.2	7.2
9	40.7	15.2	12.7	1.4	28.9	12.5	5.0
10	56.7	23.4	14.0	1.2	30.9	14.4	3.1

Source: author's calculations using the EH 2025.

The initial increase in fuel spending is consistent with fixed quantities

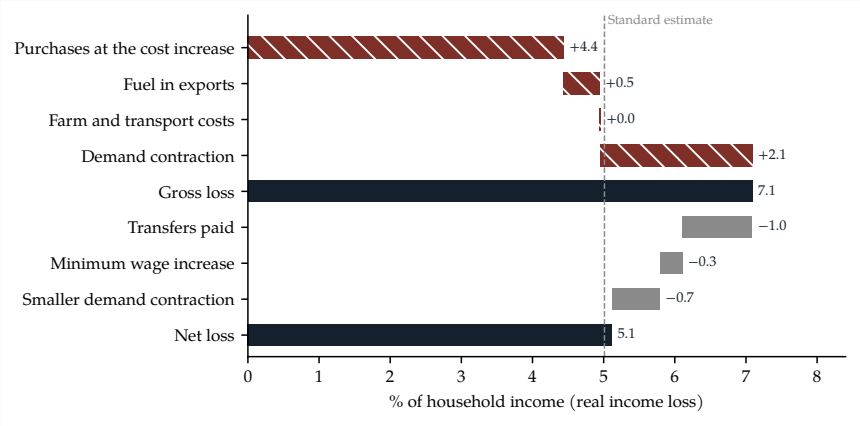
Spending on fuel and fares by days at new prices, EH 2025



Source: author's calculations using the EH 2025 and the reconstructed interview dates.

Income channels raise the gross loss from the decree above the standard method

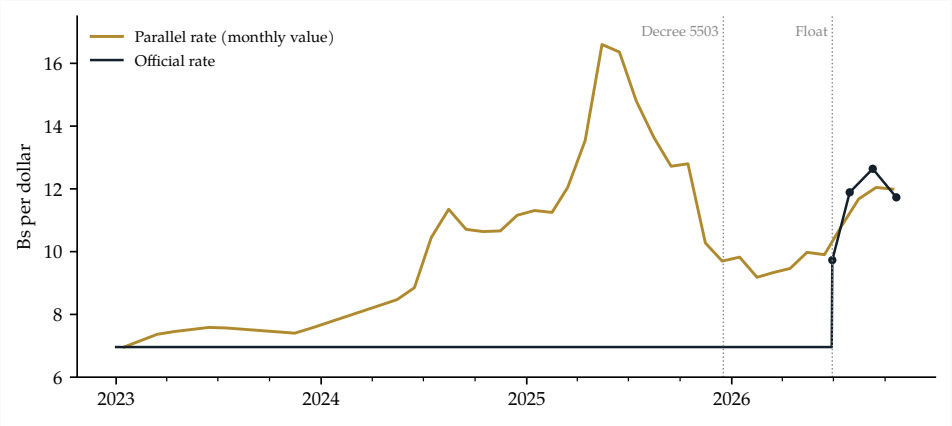
The cost of the fuel decree for households, from purchases to the net loss



Source: author's calculations using the EH 2025, the 2014 INE input-output matrix and Gestora Pública payment records.

The June 2026 float closed almost all of the gap between the official and parallel rates

Official and parallel exchange rates, 2023–2026



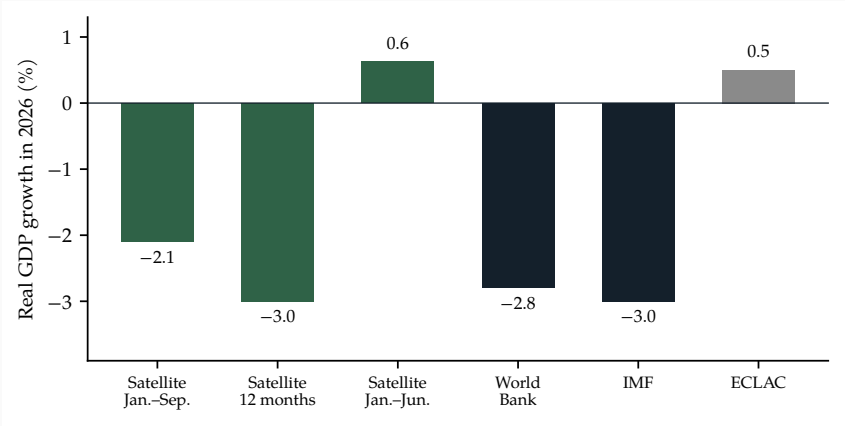
Sources: Los Tiempos (2026a), Central Bank of Bolivia (2026e), Correo del Sur (2026a), Central Bank of Bolivia (2026b) and author's calculations.

Projected poverty from 2026 to 2028

- With the growth forecast by the IMF, moderate poverty goes from 44.7% in 2025 to 46.3% in 2026, with a scenario range of 44.1% to 49.0%.
- In 2026 the contractionary components add 8.9 points of poverty and four offsetting items subtract 7.3 points.
- In the scenarios, conditional on the IMF program, moderate poverty reaches 50.4% in 2027 and 53.5% in 2028.
- If all extraordinary transfers end at the close of 2026, moderate poverty in 2027 is 51.7%, the same level as if they had never been paid.
- With uncaptured incomes allocated in proportion to each household's income, 2026 poverty would be 45.3%. That rule decides the sign of the change in the Gini.

The January to September satellite index is above the IMF and World Bank forecasts

Real GDP growth of Bolivia in 2026 according to the satellite index and the forecasts (%)



Source: author's calculations using data from Sentinel-5P TROPOMI; World Bank (2026b), International Monetary Fund (2026c), Economic Commission for Latin America and the Caribbean (2026).

Extreme poverty goes from 16.7% in 2025 to 24.4% in the 2028 scenario (1/2)

Projected poverty, 2026–2028

	2025	2026	2027	2028
Moderate poverty (% of people)				
Central value	44.7	46.3	50.4	53.5
95% interval (sampling)		44.4 to 48.2	48.7 to 52.2	51.9 to 55.3
Range of scenarios		44.1 to 49.0	47.4 to 53.0	50.3 to 55.8
Uncaptured incomes allocated by income		45.3	48.2	51.4
Change from 2025 (points)				
Central value		1.6	5.7	8.8
95% interval (sampling)		0.9 to 2.4	4.7 to 6.8	7.7 to 10.2
Range of scenarios		−0.6 to 4.3	2.7 to 8.3	5.6 to 11.1
People, at the 2025 population (thousands)		190	680	1,055

Source: author's calculations using the EH 2025, International Monetary Fund (2026a) and the INE consumer price index.

Extreme poverty goes from 16.7% in 2025 to 24.4% in the 2028 scenario (2/2)

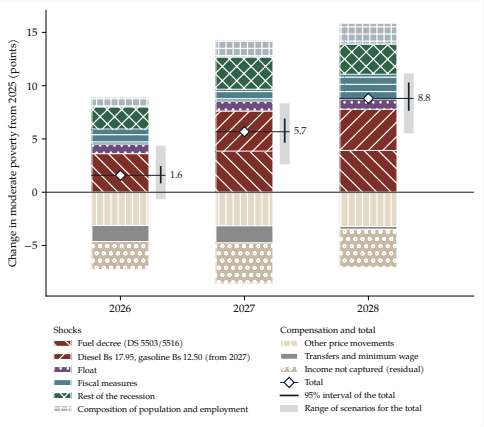
Projected poverty, 2026–2028

	2025	2026	2027	2028
Extreme poverty (% of people)				
Central value	16.7	18.2	21.5	24.4
95% interval (sampling)		16.9 to 19.6	20.0 to 22.9	22.9 to 25.8
Range of scenarios		16.3 to 20.6	18.3 to 24.1	21.2 to 27.0
IMF program path (cumulative change from 2025, %)				
Real GDP per person		−3.9	−6.3	−6.7
Real private disposable income per person (anchor)		−0.3	−4.9	−9.1

Source: author's calculations using the EH 2025, International Monetary Fund (2026a) and the INE consumer price index.

In 2026 the fuel decree is the largest of the contractionary components

Contribution of each component to the change in moderate poverty relative to 2025, 2026–2028 (points)



Source: author's calculations.

The partial 2026 figures reconcile with the common accounting (1/2)

Change in moderate poverty in 2026 relative to 2025 in the background papers (points)

Document	Components included	Measure	2026 growth (%)	In the document	Same components in the common accounting
The common accounting for 2026 to 2028 (this chapter) and Who Pays the Adjustment	All components, anchor, and composition of population and employment	Real income	IMF, −3.0	1.6	1.6
The accounting of household losses, episodes 3 to 5	Decree with its compensation, float, fiscal measures and rest of the recession	Real income	IMF, −3.0	7.3	7.3
The accounting of household losses, 2026 with both adjustments	The above, other price movements and uncaptured incomes; 2025 weights	Real income	IMF, −3.0	0.8	0.8

Source: author's calculations.

The partial 2026 figures reconcile with the common accounting (2/2)

Change in moderate poverty in 2026 relative to 2025 in the background papers (points)

Document	Components included	Measure	2026 growth (%)	In the document	Same components in the common accounting
The Price of Parity, decree net of compensation	Decree, transfers and minimum wage	Consumption cost	Not used	2.1	2.1
The Price of Parity, all components	Decree, compensation, float, other prices and rest of the recession	Consumption cost	World Bank, −2.8	2.1	1.9
Who Bears the Consolidation	Payroll, purchases, investment and transfers	Real income	Not used	0.16	0.09

Source: author's calculations.

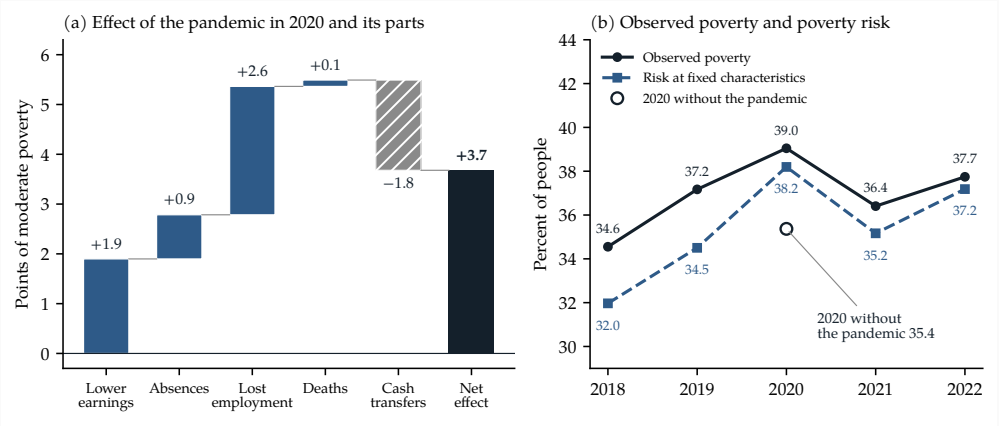
How long it lasts

What recovered from the pandemic and what did not

- Net of the cash transfers, the accounting attributes to the pandemic an increase of 3.7 points in moderate poverty in 2020 and of 0.7 points in the Gini coefficient.
- A loss is transitory when its source survives the shock. With household characteristics held fixed, by 2021 82% of the 2020 increase in poverty risk had been reversed.
- In households with a COVID-19 death in 2020, the income of the deceased was 36% of the family budget, and that loss was not recovered.
- Students in the poorest decile lost 4.8 months of classes in 2020, compared with 1.8 months in the ninth decile.
- The cash transfers reached households with 96.0% of the population and replaced 24% of the measured losses. After early 2021 there were no payments for the losses that persisted.

The fall in employment was the channel that raised 2020 poverty the most

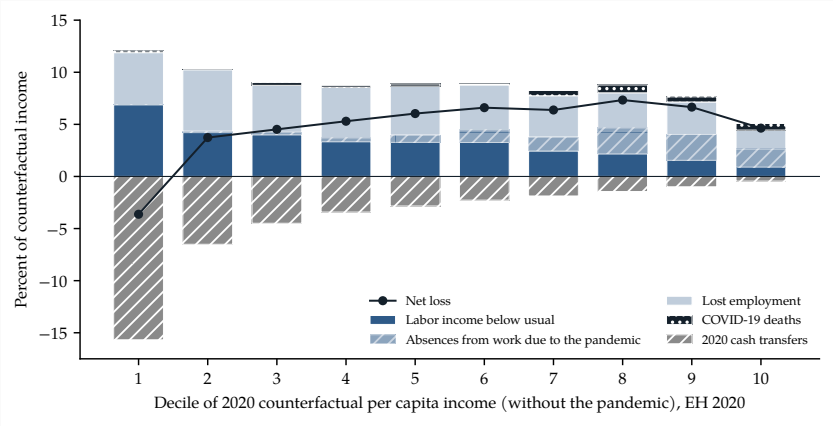
The effect of the pandemic in 2020 and the recovery of 2021



Source: author's calculations using the EH 2018 to 2022.

In gross terms, the poorest decile lost 12.0% of its income and the richest 5.1%

Losses and cash transfers in 2020 by decile



Source: author's calculations using the EH 2018 to 2020.

Transitory losses contributed 5.4 of the 5.5 points of poverty (1/2)

Losses in 2020 by type and their duration

Loss	Type	Size in 2020 (% of income)	People in affected households (%)	Contribution to 2020 moderate poverty (points)
Labor income below usual	Transitory	2.2	44.9	1.90
Absences from work due to the pandemic	Transitory	1.7	2.6	0.89
Lost employment	Transitory[a]	3.5	41.1	2.58
COVID-19 deaths	Permanent	0.5	0.7	0.13
2020 cash transfers	Transfer	−1.9	96.0	−1.81
Net effect		6.0		3.68

Source: author's calculations using the EH 2018 to 2022.

Transitory losses contributed 5.4 of the 5.5 points of poverty (2/2)

Losses in 2020 by type and their duration

Loss	Type	Size in 2020 (% of income)	People in affected households (%)	Contribution to 2020 moderate poverty (points)
Losses outside the income accounting				
Health and funeral spending	One-time	1.1	75.6[b]	
Schooling, students aged 6 to 18	Permanent	2.0[c]	20.6[d]	
After 2020 (% of each year's income)				
		2020	2021	2022
Employment gap, 2018–2019 base		3.5	1.6	1.7
EH 2018 base		2.2	0.2	0.3
EH 2019 base		4.8	2.9	3.0
Income of those who died of COVID-19		0.5	0.4	

Source: author's calculations using the EH 2018 to 2022.

The cash transfers covered 3% of the loss of households with a death

Cash transfers and losses by type of loss, 2020

Households with	Households (%)	Receive a transfer (%)	Mean transfer (Bs per month)	Mean loss (Bs per month)	Transfer over loss (%)
All households	100.0	91.9	88	364	24
Labor income below usual	41.4	96.6	101	413	24
Absences from work due to the pandemic	2.3	95.3	101	3,707	3
Lost employment (expected)	33.3	96.6	110	697	16
A COVID-19 death	0.8	91.5	89	3,411	3
No measured loss	35.5	84.4	67	0	

Source: author's calculations using the EH 2018 to 2020.

Entries, exits and persistence of poverty

- In the national EH synthetic panel, the probability of falling into poverty rose from 13.6% to 19.7% and the probability of exiting fell from 16.8% to 10.6% between 2023–2024 and 2024–2025. The method does not separate which weighed more.
- In the ECE panel (capitals and conurbations), the quarterly exit rate from urban labor-income poverty fell 4.5 points relative to the 2021–2022 recovery, and the entry rate rose 1.9. Only the fall in exits is significant.
- The fall in exits explains 64% of the increase in equilibrium incidence (long-run poverty with fixed rates), from 44.7% to 52.0%.
- Real labor income per worker fell 12.3% in 2024 and 11.7% in 2025, which widened the gap between poor households and the line.
- The job loss of a household member accompanied 47.0% of entries into poverty during the pandemic and 34.0% in 2024–2025.

In the synthetic panel, people poor in both years rose from 35.9% to 38.2% (1/2)

Poverty transitions estimated with synthetic panels from the EH

	2023–2024	2024–2025
Cohorts with 30 or more households	76	75
Correlation of cohort incomes	0.90	0.90
Correlation of the errors	0.87	0.88
Percentage of people		
Poor in both years	35.9	38.2
Entered poverty	7.7	11.3
Left poverty	7.2	4.5
Not poor in either year	49.1	46.0

Source: author's calculations using the EH 2023, 2024 and 2025, with the method of Dang et al. (2014).

In the synthetic panel, people poor in both years rose from 35.9% to 38.2% (2/2)

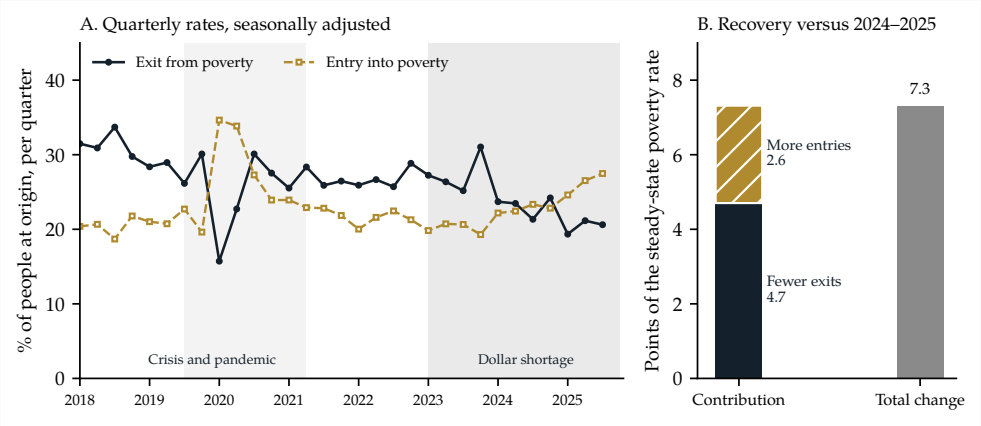
Poverty transitions estimated with synthetic panels from the EH

	2023–2024	2024–2025
Probabilities, %		
Fall, if not poor in the first year	13.6	19.7
Exit, if poor in the first year	16.8	10.6
Fall, bound with zero correlation	37.4	44.1
Exit, bound with zero correlation	48.2	43.4
Entries per exit	1.1	2.5
Observed poverty rate in the sample, first year	40.4	40.6
Observed poverty rate in the sample, second year	40.4	47.2

Source: author's calculations using the EH 2023, 2024 and 2025, with the method of Dang et al. (2014).

Exits from urban poverty fell from 2024 on and entries rose mainly in 2025

Entries into and exits from urban labor-income poverty, ECE



Source: author's calculations using the ECE.

People poor in all four quarters rose from 24.0% to 28.0% (1/2)

Entries into urban labor-income poverty, exits and persistence, ECE

	Recovery (%)	Pandemic minus recovery (points)	2024–2025 minus recovery (points)
A. Quarterly rates			
Exit, moderate line	26.8	−1.1 (1.46)	−4.5 (1.46)
Entry, moderate line	21.6	4.9 (1.61)	1.9 (1.61)
Exit, constant 2022 line	26.7	−1.4 (1.47)	−3.8 (1.48)
Entry, constant 2022 line	21.7	5.0 (1.58)	1.3 (1.58)
Exit, extreme line	42.7	1.1 (2.38)	−3.6 (2.38)
Entry, extreme line	8.5	3.6 (1.09)	1.4 (1.09)

Source: author's calculations using the ECE 2018Q1 to 2025Q4.

People poor in all four quarters rose from 24.0% to 28.0% (2/2)

Entries into urban labor-income poverty, exits and persistence, ECE

	Recovery	2024–2025
B. Steady-state poverty rate, moderate line (%)		
With each period's rates	44.7	52.0
With 2024–2025 exits and recovery entries		49.4
With 2024–2025 entries and recovery exits		47.3
C. People by number of quarters spent below the moderate line (%)		
None of the four	31.0	27.9
One to three	45.0	44.1
All four	24.0	28.0

Source: author's calculations using the ECE 2018Q1 to 2025Q4.

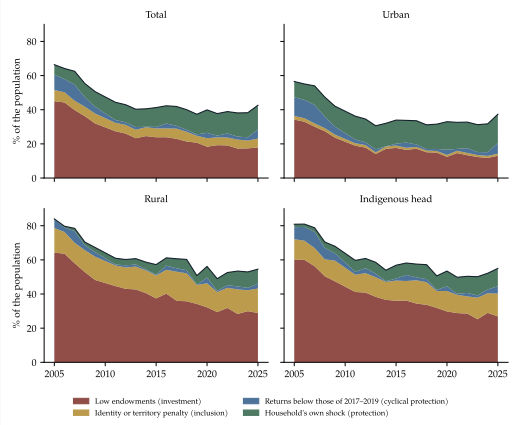
Where and who

Structural and transitory poor

- Structural poverty comes from low endowments or from a lower return to them because of identity or territory. In 2025 it was 54% of the poor if all of the income residual is treated as transitory ($s = 0$) and 76% if 60% of it is treated as fixed ($s = 0.6$).
- About 76% of the 2025 increase is poverty from low returns, among people whose endowments placed them above the line with the returns of 2017–2019.
- With $s = 0$, structural poverty is 79% of the rural poor and 69% of poor children, while 62% of the urban poor are poor because of low returns or household shocks.
- In 2025 the income of households with an Indigenous head was 38.1 log points lower than that of the rest, and 16.4 points corresponded to a lower return to the same endowments.
- Between 2005 and 2025, the improvement in endowments explains 25.0 of the 34.4 points by which poverty measured with endowment income fell ($s = 0$).

Structural poverty fell most in the boom, and transitory poverty rose in 2025

Composition of poverty by cause, 2005–2025



Source: author's calculations using the EH 2005–2025.

With $s = 0.6$, transitory poverty is 33% of the urban poor

The poor by cause of their poverty, 2019 and 2025 (% of the population of each group)

	2019									2025								
		$s = 0$				$s = 0.6$					$s = 0$				$s = 0.6$			
Group	Poor	Inv.	Incl.	Cycl.	Idio.	Inv.	Incl.	Cycl.	Idio.	Poor	Inv.	Incl.	Cycl.	Idio.	Inv.	Incl.	Cycl.	Idio.
Total	37.4	20.7	4.0	0.9	11.7	30.3	3.0	1.1	2.9	42.6	17.9	5.2	5.3	14.3	28.4	4.2	6.1	3.9
Urban	31.5	14.9	1.0	1.2	14.5	24.9	1.2	1.5	4.0	37.4	13.0	1.2	6.3	16.8	23.3	1.6	7.6	4.9
Rural	50.8	34.2	11.1	0.1	5.3	43.0	7.3	0.3	0.2	54.6	28.9	14.3	2.8	8.5	40.1	10.0	3.0	1.5
Ages 0 to 14	48.9	35.5	2.5	0.9	10.0	43.4	2.0	1.1	2.3	56.1	34.7	3.8	6.7	10.9	43.6	3.0	7.0	2.5
Ages 15 to 59	33.2	15.9	3.8	1.0	12.7	26.0	2.8	1.3	3.2	38.5	13.5	4.6	5.2	15.1	24.6	3.4	6.3	4.2
Ages 60 and over	27.4	5.6	9.6	0.2	12.0	17.3	6.9	0.5	2.6	34.4	4.3	10.4	2.6	17.1	15.6	9.7	3.8	5.4
Women	37.9	20.7	4.3	0.8	12.1	30.6	3.1	1.1	3.0	43.8	18.1	5.3	5.5	14.9	29.2	4.3	6.3	4.0
Men	36.8	20.7	3.8	0.9	11.4	30.1	2.9	1.2	2.7	41.4	17.6	5.1	5.1	13.6	27.6	4.0	6.0	3.7
Female-headed households	35.4	17.7	4.8	0.5	12.4	27.5	4.0	1.0	3.0	42.3	17.7	3.8	4.7	16.1	27.8	4.8	5.1	4.6
Male-headed households	37.9	21.6	3.8	1.0	11.5	31.2	2.7	1.2	2.8	42.8	18.0	5.8	5.5	13.5	28.7	3.9	6.6	3.6
Indigenous head	50.6	31.9	9.9	0.7	8.2	41.9	6.8	0.7	1.1	55.0	26.9	13.4	4.3	10.5	38.4	10.3	4.3	2.0
Non-indigenous head	30.6	15.0	1.1	1.0	13.6	24.5	1.1	1.3	3.7	37.2	13.9	1.6	5.7	15.9	24.1	1.5	7.0	4.7

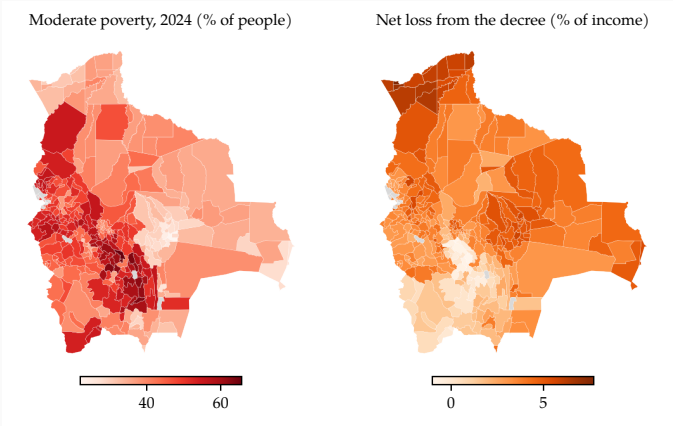
Source: author's calculations using the EH.

Poverty, losses and services across the territory

- The highest poverty rates are in rural municipalities of Chuquisaca and Potosí, and in 127 municipalities they exceed 50%. The ten municipalities with the most poor people hold 41.4% of the country's poor.
- To reach half of the poor, a program that chose municipalities by their poverty rate would have to cover 223 of the 343 municipalities.
- In the 2024 Census, 9.4% of the population had service deprivation (lacking two or more of water, sanitation, electricity and education), with 26.5% in rural areas and 1.7% in urban areas.
- Deprivation depends on the community. In rural communities of fewer than 2,000 inhabitants, 41.9% of households without grid electricity lived where coverage was below 10%.
- The arrival of the power grid between 2012 and 2024 was associated with the connection cost and with local poverty, and the vote for the governing party had a small and non-significant association.

The net loss from the decree weighed less on income in the poorest municipalities

Municipal moderate poverty in 2024 and loss from the fuel decree



Source: author's calculations using the 2024 Census and the EH 2024 and 2025.

El Alto and Santa Cruz de la Sierra have the largest numbers of poor people

The ten municipalities with the most poor people, 2024

Municipality	Department	Population	Poverty (%)	Poor people
El Alto	La Paz	885,825	44.7	395,628
Santa Cruz de la Sierra	Santa Cruz	1,610,982	22.0	355,075
Nuestra Señora de La Paz	La Paz	757,431	37.3	282,653
Cochabamba	Cochabamba	665,505	37.1	247,088
Sucre	Chuquisaca	296,746	41.9	124,423
Oruro	Oruro	298,350	30.4	90,693
Sacaba	Cochabamba	219,092	39.8	87,238
Potosí	Potosí	218,702	36.1	78,891
Tarija	Tarija	238,749	29.2	69,702
Quillacollo	Cochabamba	166,741	39.2	65,358

Source: author's calculations using the 2024 Census and the EH 2024.

The EH records less rural deprivation than the census, with a larger gap in 2024

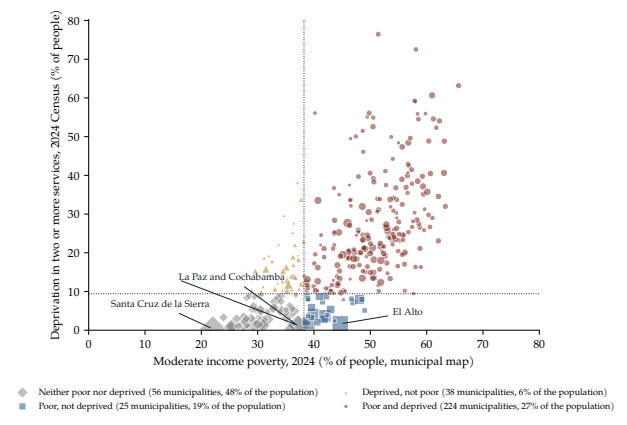
Rural deprivation in electricity and sanitation in the censuses and the EH, 2012 and 2024 (%)

	Census				EH		EH / Census (%)	
	Households		People		People		People	
	2012	2024	2012	2024	2012	2024	2012	2024
No electricity from any source	42.5	26.3	38.0	21.6	25.7	9.5	67.5	43.9
No sanitation facility, or discharge to the surface	63.1	48.7	59.6	44.0	40.0	22.7	67.1	51.5

Source: author's calculations using the censuses and the EH.

Income poverty and the lack of services overlap only in part

Income poverty and service deprivation by municipality, 2024



Source: author's calculations using the 2024 Census and the EH 2024.

What to do

How the adjustment was decided

- The president and the Council of Ministers set fuel prices (DS 5503, 5516, 5644, 5652, 5676, 5698 and 5716) and the compensation by supreme decree.
- The exchange rate moved from fixed to flexible in four stages, between December 2025 and September 2026, through resolutions of the Ministry of Economy and the BCB. The first official rate of the new regime, on 29 June 2026, was Bs 9.73.
- No party has a majority in the Assembly. The PDC holds 49 of the 130 deputies and 16 of the 36 senators, according to the ANF count.
- Law 1765 approved the IMF financing, a 36-month Extended Fund Facility of about US$1,900 million that the Fund's Board approved on 2 October 2026. No Assembly vote was found on the price decrees or on the exchange rate regime.
- Two waves of protests, in December 2025 and January 2026 and in May and June 2026, preceded the repeal of DS 5503 and the state of exception.

DS 5516 kept the prices, the compensation and the minimum wage (1/3)

What Decree 5516 did with each part of Decree 5503

Measure in DS 5503	In DS 5516	Afterwards
Fuel prices for six months (regular gasoline Bs 6.96, diesel Bs 9.80) and a price formula afterwards	Kept	DS 5652 (July): prices fixed until year end; DS 5676: Bs 18.00 for large users; DS 5716: diesel at import parity
Compensation: PEPE (three monthly payments to families and a higher Renta Dignidad for those without a pension) and Bono Juancito Pinto of Bs 300	Kept, with changes in the groups	DS 5713 (September): PEPE II
Minimum wage of Bs 3,300	Kept, retroactive to 1 January	
Ban on new public hiring and staff rationalization	Kept	

Sources: texts of DS 5503 and DS 5516; summary of DS 5517 (Plurinational State of Bolivia, 2026b); eju.tv (2026g); International Monetary Fund (2026a).

DS 5516 kept the prices, the compensation and the minimum wage (2/3)

What Decree 5516 did with each part of Decree 5503

Measure in DS 5503	In DS 5516	Afterwards
Deferral of loan installments for social housing and for micro and small enterprises	Kept	
Zero tariff on machinery, tires, lubricants, batteries and spare parts	Kept, with mining added	
Prices of natural gas and of isolated electricity systems	Kept	
Private fuel imports; diesel removed from the list of controlled substances	Excluded	Restored the same day by DS 5517
Freeze of public sector wage increases in 2026	Excluded	The IMF records a partial freeze of public wages without naming the instrument

Sources: texts of DS 5503 and DS 5516; summary of DS 5517 (Plurinational State of Bolivia, 2026b); eju.tv (2026g); International Monetary Fund (2026a).

DS 5516 kept the prices, the compensation and the minimum wage (3/3)

What Decree 5516 did with each part of Decree 5503

Measure in DS 5503	In DS 5516	Afterwards
Ban on BCB lending to public enterprises	Excluded	BCB Monetary Program (March)
Instruction to the BCB to move to a new exchange rate regime	Excluded	Resolutions of June 2026
Investment protection regime with legal and tax stability	Excluded	Investment bill sent to the Assembly in August
Capital repatriation, simplified tax regime, tax amnesty and other tax incentives	Excluded	The IMF records debt forgiveness and incentives without naming the instrument
End of import authorizations and export certificates; express audits	Excluded	

Sources: texts of DS 5503 and DS 5516; summary of DS 5517 (Plurinational State of Bolivia, 2026b); eju.tv (2026g); International Monetary Fund (2026a).

The Assembly voted on the budget, the loans and the states of exception (1/3)

What the Legislative Assembly voted on, December 2025 to October 2026

Item	Date	Outcome
2026 budget (PGE) of the previous government	18 Dec. 2025	Rejected in the Senate; in force by constitutional mandate since 1 January
Loans from CAF, the IDB and JICA (Laws 1702 to 1704)	Enactment, 19 Dec. 2025	Approved
Repeal of the financial transactions tax (Law 1717)	Enactment, 10 Apr. 2026	Approved
100% value added tax (IVA) credit on fuel purchases (Law 1718)	2026, date not confirmed	Approved

Sources: Agencia de Noticias Fides (ANF) (2025b), eju.tv (2026f), Orbitax (2026), Ferrere (2026), Los Tiempos (2026d), Correo del Sur (2026d), Correo del Sur (2026f), eju.tv (2026j), Bloomberg Línea (2026), Correo del Sur (2026g), Correo del Sur (2026e), teleSUR (2026), Gonzáles (2026), International Monetary Fund (2026a).

The Assembly voted on the budget, the loans and the states of exception (2/3)

What the Legislative Assembly voted on, December 2025 to October 2026

Item	Date	Outcome
Law on states of exception	7 Jun. 2026	Passed by the Chamber of Deputies as reviewing chamber
State of exception (DS 5636)	21 Jun. 2026	Approved
Revised 2026 PGE (Law 1755)	Deputies, July; Senate, 29 Jul.; law, 30 Jul. 2026	Approved; Deputies added legislative approval of sovereign bond issues
Censure of the Minister of Economy	Aug. 2026	Approved; the minister was replaced
Extension of the state of exception (DS 5707)	17 Sep. 2026	Approved by 100 of 158 legislators present

Sources: Agencia de Noticias Fides (ANF) (2025b), eju.tv (2026f), Orbitax (2026), Ferrere (2026), Los Tiempos (2026d), Correo del Sur (2026d), Correo del Sur (2026f), eju.tv (2026j), Bloomberg Línea (2026), Correo del Sur (2026g), Correo del Sur (2026e), teleSUR (2026), Gonzáles (2026), International Monetary Fund (2026a).

The Assembly voted on the budget, the loans and the states of exception (3/3)

What the Legislative Assembly voted on, December 2025 to October 2026

Item	Date	Outcome
IMF financing (Law 1765)	Deputies, 17 Sep.; Senate, 18 Sep. 2026	Approved in each chamber by more than two thirds of those present
World Bank loan of US$200.5 million	Deputies, 7 Oct. 2026	Approved by Deputies and sent to the Senate
Fuel price decrees		No vote found
Exchange rate regime		No vote found
Hydrocarbons law		The government is preparing a bill, according to the IMF

Sources: Agencia de Noticias Fides (ANF) (2025b), eju.tv (2026f), Orbitax (2026), Ferrere (2026), Los Tiempos (2026d), Correo del Sur (2026d), Correo del Sur (2026f), eju.tv (2026j), Bloomberg Línea (2026), Correo del Sur (2026g), Correo del Sur (2026e), teleSUR (2026), Gonzáles (2026), International Monetary Fund (2026a).

According to the IMF, other institutions will provide about US$4,000 million (1/2)

External financing other than the IMF, 2025–2026

Creditor	Operation	Amount (US$)	Date
CAF	Liquidity loan (Law 1702)	550 million	Contract, 27 Nov. 2025; law, 19 Dec. 2025
CAF	Program 2025–2030	3,100 million	Signed at the end of January 2026
IDB	Package 2026–2028	4,500 million	Announced on 13 Jan. 2026
IDB	Social protection, health, education and roads	800 million	Approved in April 2026; contracts subject to the Assembly

Sources: eju.tv (2026f), eju.tv (2026d), eju.tv (2026b), eju.tv (2026c), World Bank (2026e), Gonzáles (2026), International Monetary Fund (2026a).

According to the IMF, other institutions will provide about US$4,000 million (2/2)

External financing other than the IMF, 2025–2026

Creditor	Operation	Amount (US$)	Date
World Bank	Loan for PEPE and social protection	200 million	Board, February 2026; Deputies, 7 Oct. 2026
World Bank	First budget support loan	500 million	Proposed; the IMF table records US$500 million from the World Bank in 2026
FLAR	Reserve support	700–800 million	Expected in 2027
Market	Sovereign bond due 2031, 9.45%	1,000 million	7 May 2026

Sources: eju.tv (2026f), eju.tv (2026d), eju.tv (2026b), eju.tv (2026c), World Bank (2026e), Gonzáles (2026), International Monetary Fund (2026a).

What the State did and what it could have done

- The 2026 transfers cost 0.55% of GDP and reached households with 73% of the population. Of their budget, 50% went to people who were poor before the transfers.
- Without the effect of their spending on demand, the accounting attributes to them a reduction of 0.81 points in moderate poverty, and of 1.1 points with that effect.
- The variables of a social registry explain 49% of the variance of usual income in 2025–2026 and only 9% of the variance of the relative loss from the adjustment.
- With the same budget, the proxy means test (an equal payment to the 30% with the lowest predicted income) leaves out 46% of the moderately poor, and gap filling (which raises the predicted income of the poorest to a common floor) leaves out 77%.
- Cutting public wages is the only one of the five saving instruments that reduces the Gini (0.23 points), and it raises moderate poverty 0.84 points per 1% of GDP saved.

Gap filling reduces severity more and moderate poverty less

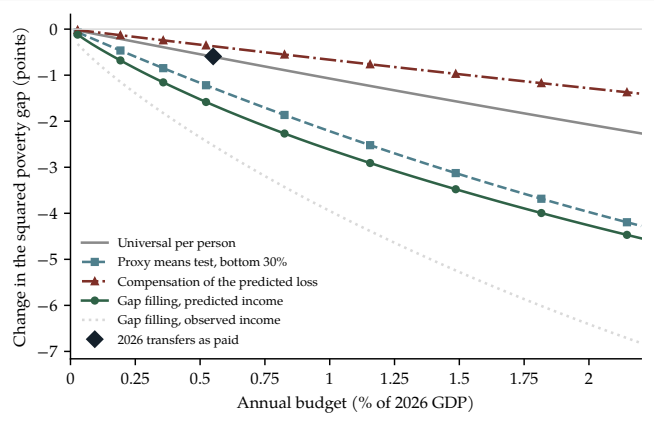
Transfer designs with the 2026 budget, 2026 projection

Design	Moderate poverty (points)	Squared gap (points)	Extreme poverty (points)	% of amount to the poor	% of amount to the top half	Poor excluded (%)	Non-poor recipients (%)
2026 transfers as paid	−0.81	−0.59	−1.29	50	45	15	45
Universal per person	−0.64	−0.60	−1.03	47	50	0	53
Per child under 18	−0.79	−0.79	−1.24	60	36	24	43
Proxy means test, bottom 30%	−0.61	−1.28	−2.30	84	12	46	16
Compensation of the predicted loss	−0.57	−0.37	−0.76	32	66	1	53
Gap filling on predicted income	−0.38	−1.65	−2.16	94	4	77	9
Benchmark: compensation of the observed loss	−0.38	−0.37	−0.40	23	76	4	53
Benchmark: gap filling with observed income	0.00	−2.53	0.00	100	0	78	0

Source: common accounting; EH 2025.

Gap filling matches the 2026 reduction in severity with 30% of the spending

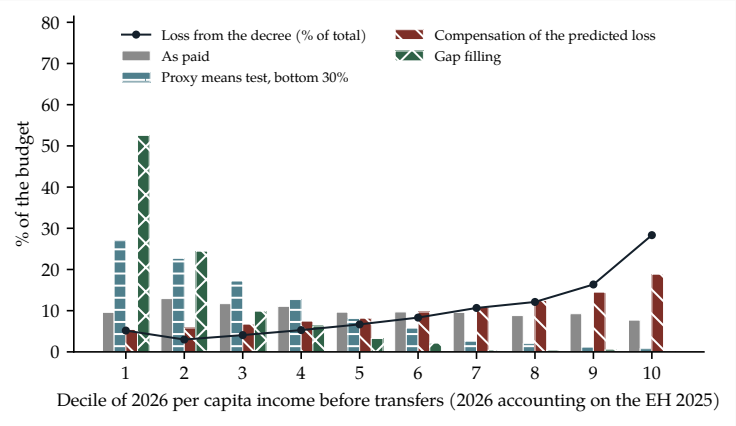
Change in the squared poverty gap by the budget of each design, 2026 projection



Source: common accounting; EH 2025.

Compensating by the loss sends 66% of the budget to the upper half

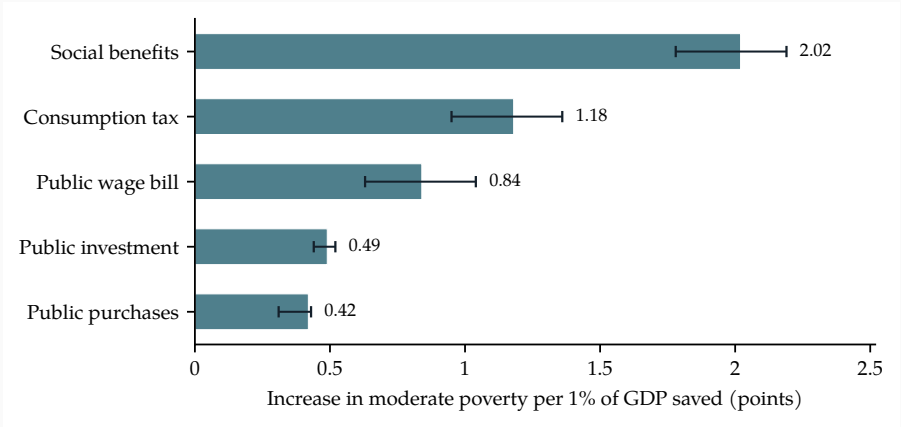
Destination of the budget by decile of per capita income in 2026 before transfers



Source: common accounting; EH 2025.

Each 1% of GDP saved on social benefits raises poverty 2.02 points

Increase in moderate poverty per 1% of GDP saved with each instrument



Source: fiscal consolidation model; EH 2025.

Social protection priorities

- The priorities distinguish between the poorest households, for which the decree's compensation replaced most of their loss, and the lower-middle-income households of the third to sixth deciles, which received less and paid more.
- For the poorest, the book proposes a regular gap-filling transfer, with a floor set as a proportion of the poverty line. It costs 0.16% of GDP and saves 0.39% of GDP per year compared with the 2026 transfers.
- For lower-middle-income households, the book proposes a social registry with on-demand enrollment and two activation rules, one of activity (urban labor income) and one of prices (basket).
- The Renta Dignidad is kept without indexation. Indexing it to the 2025 rise in the line would cost 0.37% of GDP, and only 40% of that spending would reach poor people.
- The book also proposes unemployment insurance, temporary public employment for informal workers and a non-contributory survivor pension, whose cost the book does not estimate.

Investment, fiscal consolidation and measurement

- Completing rural electrification, with the grid below the 2023 cost caps and solar systems in the other localities, costs between US$344 and US$804 million. The unfunded part is at most 0.24% of 2026 GDP per year between 2027 and 2030.
- Fiscal consolidation should protect social benefits and obtain savings first from state purchases and from investment that does not pass a cost-benefit test. That protection does not alter the fiscal target and its net cost is zero.
- A poverty series with lines updated by the CPI, published alongside the official one, would separate the effect of the basket, which was 3.4 points in the 2025 increase.
- The other changes in measurement are a new household budget survey, imputed rent and the interview date in the public EH files, the municipal poverty map and high-frequency monitoring.
- Water and sanitation, school catch-up and productive inclusion need a cost assessment before they enter the budget.

Cost and reach of the priorities

- The measures with a quantified cost fit within the fiscal targets, because the annual saving from the targeted transfer exceeds the annual investment that the rural power grid requires.
- The social registry has financing in the World Bank loan of US$200 million and in the IDB line BO-O0014, of US$750 million.
- The cost of extending the transfer to lower-middle-income households depends on the activation thresholds and must fit within the social assistance floor of the IMF program, 1.8% of GDP in 2026.
- A real recovery of 5% in labor earnings would reduce moderate poverty in 2025 by 2.03 points, and one of 10% by 4.00 points, more than any transfer design financed with the 2026 budget.

Conclusions

- How long a loss lasts depends on its source. In the pandemic the labor losses were reversed, and the deaths of earners and the months of classes lost were not recovered.
- In 2024 and 2025 labor-income poverty in the capital cities increased mainly because fewer poor people managed to exit it.
- Structural poverty is concentrated in rural areas, in households whose head's mother tongue is Indigenous and among children, and transitory poverty, which rose in 2025, weighs more in the cities.
- Lower-middle-income households received less and paid more. For them the book proposes on-demand enrollment and activation rules based on prices and activity, and for the poorest, a gap-filling transfer.
- Protecting social benefits in the fiscal consolidation reduces the social cost of the adjustment without altering its target.

Annexes

INE rates for 2019 to 2025 are reproduced within 0.005 points (1/3)

Reproduction of the INE national indicators, 2019–2025

Indicator	Year	INE	Reproduced	Difference
Moderate poverty (FGT0)	2019	37.17	37.17	0.00
	2020	39.05	39.05	0.00
	2021	36.41	36.41	0.00
	2022	37.74	37.74	0.00
	2023	36.48	36.48	0.00
	2024	37.65	37.65	0.00
	2025	44.72	44.72	0.00
Gap (FGT1)	2019	14.27	14.27	0.00
	2020	15.54	15.54	0.00
	2021	13.67	13.67	0.00
	2022	14.68	14.68	0.00
	2023	13.59	13.59	0.00
	2024	14.19	14.19	0.00
	2025	17.64	17.63	0.00

Sources: INE, Tables 3.06.01.01 to 3.06.01.03 (published figures); author's calculations using the EH of each year (reproduced figures).

INE rates for 2019 to 2025 are reproduced within 0.005 points (2/3)

Reproduction of the INE national indicators, 2019–2025

Indicator	Year	INE	Reproduced	Difference
Severity (FGT2)	2019	7.88	7.88	0.00
	2020	8.79	8.79	0.00
	2021	7.37	7.37	0.00
	2022	8.12	8.12	0.00
	2023	7.24	7.24	0.00
	2024	7.53	7.53	0.00
	2025	9.51	9.51	0.00
Extreme poverty (FGT0)	2019	12.87	12.87	0.00
	2020	13.65	13.65	0.00
	2021	11.11	11.11	0.00
	2022	12.52	12.52	0.00
	2023	11.89	11.89	0.00
	2024	12.77	12.77	0.00
	2025	16.70	16.70	0.00

Sources: INE, Tables 3.06.01.01 to 3.06.01.03 (published figures); author's calculations using the EH of each year (reproduced figures).

INE rates for 2019 to 2025 are reproduced within 0.005 points (3/3)

Reproduction of the INE national indicators, 2019–2025

Indicator	Year	INE	Reproduced	Difference
Gini	2019	0.4245	0.4245	0.0000
	2020	0.4523	0.4523	0.0000
	2021	0.4200	0.4205	0.0005
	2022	0.4260	0.4257	−0.0003
	2023	0.4340	0.4336	−0.0004
	2024	0.4155	0.4155	0.0000
	2025	0.4258	0.4258	0.0000

Sources: INE, Tables 3.06.01.01 to 3.06.01.03 (published figures); author's calculations using the EH of each year (reproduced figures).

Urban and rural INE rates are reproduced within 0.005 points (1/2)

Reproduction of INE indicators for urban and rural areas, 2019–2025

Urban area								
Indicator	2019	2020	2021	2022	2023	2024	2025	Largest difference
Moderate FGT0	31.29	32.38	31.50	32.46	30.15	31.35	38.84	−0.01
Moderate FGT1	10.23	10.97	10.16	10.68	9.48	9.84	13.67	0.00
Moderate FGT2	4.94	5.43	4.72	5.06	4.26	4.51	6.68	0.00
Population	8,045,127	8,230,648	8,380,392	8,530,857	8,681,854	8,832,385	8,310,736	0
Poor	2,517,133	2,665,403	2,640,042	2,768,855	2,617,141	2,768,619	3,227,496	0
Extreme FGT0	6.42	7.21	6.10	7.02	5.91	5.99	10.17	0.00
Extreme FGT1	2.15	2.41	1.74	2.02	1.59	1.76	3.05	0.00
Extreme FGT2	1.23	1.30	0.83	0.95	0.68	0.83	1.45	0.00
Extreme poor	516,758	593,062	511,235	598,703	512,770	528,873	845,394	0
Gini	0.3864	0.4108	0.3830	0.3870	0.3960	0.3714	0.3934	0.0004

Values published by INE. Largest difference: largest absolute difference between the reproduced and the published figure in 2019–2025. Source: INE (published figures); author's calculations with each year's EH.

Urban and rural INE rates are reproduced within 0.005 points (2/2)

Reproduction of INE indicators for urban and rural areas, 2019–2025

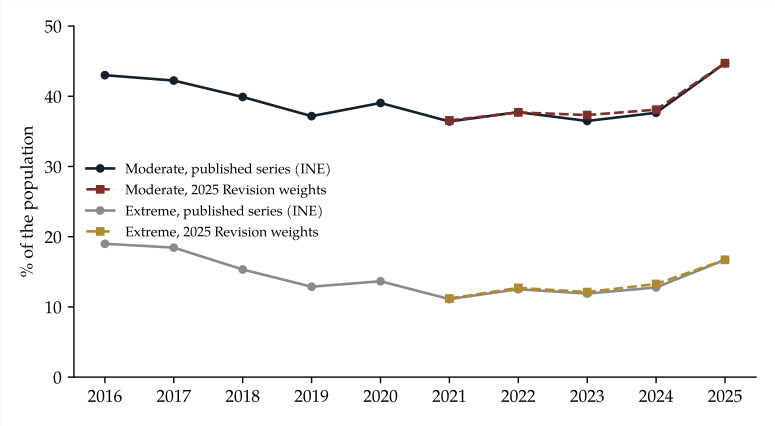
Rural area

Indicator	2019	2020	2021	2022	2023	2024	2025	Largest difference
Moderate FGT0	50.79	54.70	48.09	50.52	52.00	53.29	58.06	0.00
Moderate FGT1	23.61	26.27	22.02	24.33	23.65	25.00	26.63	0.00
Moderate FGT2	14.68	16.69	13.68	15.54	14.54	15.03	15.95	0.00
Population	3,476,429	3,503,984	3,516,671	3,531,074	3,544,788	3,557,454	3,661,355	0
Poor	1,765,541	1,916,565	1,691,231	1,783,800	1,843,275	1,895,880	2,125,834	0
Extreme FGT0	27.80	28.80	23.04	25.81	26.54	29.60	31.53	0.00
Extreme FGT1	12.00	13.10	10.59	12.35	11.97	11.99	12.65	0.00
Extreme FGT2	6.99	7.94	6.31	7.68	7.10	6.55	7.31	0.00
Extreme poor	966,432	1,009,175	810,342	911,520	940,819	1,052,912	1,154,512	0
Gini	0.4707	0.4842	0.4780	0.4700	0.4730	0.4865	0.4570	−0.0008

Values published by INE. Largest difference: largest absolute difference between the reproduced and the published figure in 2019–2025. Source: INE (published figures); author's calculations with each year's EH.

With the Revisión 2025 factor, 2024 poverty is 38.1%, against 37.6% published

Moderate and extreme poverty, published and comparable series, 2016–2025



Sources: INE (2016–2018, published series); author's calculations using the EH (2019–2025).

Published rates for 2011 to 2015 are reproduced within 0.05 points

Reproduction of the published poverty rates, 1999–2024

Series	Figures	Mean absolute difference (pp)	Maximum difference (pp)
Previous methodology, 2000–2007 (lines in the file)	36	0.77	4.86
Previous methodology, 1999 and 2003–04 (imputed lines)	12	1.16	4.50
Previous methodology, 2008–2009 (preliminary figures of 2010)	12	1.00	2.65
Previous methodology, 2011–2015 (area, department and sex)	140	0.03	0.05
2020 methodology, 2016–2018 (back-cast lines; expansion factors computed from department and rural rates)	84	0.04	0.19
2020 methodology, 2019–2020	56	0.02	0.05
International lines, 2000–2019 (PIP)	51	0.00	0.01
International lines, 2020–2024 (approximation calibrated to the published mean)	15	0.25	0.63

Source: author's calculations.

The INE Gini is reproduced for 2005–2025 except in 2005 and 2014 (1/2)

Reproduction of the published Gini coefficient, 2000–2025

	INE (household per capita income)						World Bank (PIP)	
	National		Urban		Rural		National	
Year	Publ.	Repr.	Publ.	Repr.	Publ.	Repr.	Publ.	Repr.
2000	–	–	–	–	–	–	61.57	61.47
2001	–	–	–	–	–	–	57.37	57.31
2002	–	–	–	–	–	–	59.27	59.28
2005	60.03	60.22	53.91	53.63	65.87	61.71	58.52	58.51
2006	59.18	59.18	53.11	53.11	63.97	63.98	56.66	56.59
2007	56.44	56.44	50.67	50.67	63.55	63.55	54.53	54.50
2008	51.74	51.74	46.55	46.55	55.51	55.51	50.81	50.81
2009	50.20	50.20	45.07	45.07	53.43	53.43	49.22	49.17
2011	46.62	46.62	40.94	40.94	54.18	54.18	46.08	46.07
2012	47.09	47.09	41.63	41.63	54.32	54.32	46.58	46.54
2013	47.84	47.84	41.99	41.99	53.28	53.28	47.59	47.59

Source: author's calculations using the EH (INE), the SEDLAC files and the PIP platform.

The INE Gini is reproduced for 2005–2025 except in 2005 and 2014 (2/2)

Reproduction of the published Gini coefficient, 2000–2025

	INE (household per capita income)						World Bank (PIP)	
	National		Urban		Rural		National	
Year	Publ.	Repr.	Publ.	Repr.	Publ.	Repr.	Publ.	Repr.
2014	47.67	49.30	42.40	43.65	53.40	56.80	47.83	47.81
2015	46.47	46.46	41.87	41.86	51.83	51.82	46.73	46.74
2016	46.35	46.35	40.51	40.51	54.39	54.39	45.24	45.20
2017	45.61	45.61	39.80	39.80	54.35	54.35	44.62	44.59
2018	43.25	43.24	37.76	37.76	49.31	49.31	42.58	42.57
2019	42.45	42.45	38.64	38.64	47.07	47.06	41.64	41.63
2020	45.23	45.23	41.08	41.08	48.42	48.42	43.64	43.99
2021	42.00	42.05	38.30	38.34	47.80	47.80	40.91	40.94
2022	42.60	42.57	38.70	38.71	47.00	46.92	41.21	41.39
2023	43.40	43.36	39.60	39.56	47.30	47.30	42.05	42.17
2024	41.55	41.55	37.14	37.14	48.65	48.65	40.87	40.53
2025	42.58	42.58	39.34	39.34	45.70	45.70	–	–

Source: author's calculations using the EH (INE), the SEDLAC files and the PIP platform.

World Bank figures with the national line are reproduced within rounding (1/3)

Reproduction of the World Bank figures for Bolivia

Source	Indicator	Published	Reproduced	Status
Report	National poverty 2024 (comparable basis)	38.1	38.1	exact
Report	National poverty 2025	44.7	44.7	exact
Report	Increase 2024–2025 (points)	6.6	6.6	exact
Report	New poor (thousands)	808.0	807.5	exact
Report	Extreme poverty 2024	13.3	13.3	exact
Report	Extreme poverty 2025	16.7	16.7	exact
Report	Gini 2024	41.8	41.8	exact
Report	Gini 2025	42.6	42.6	exact
Report	Rural poverty 2025	58.1	58.1	exact
Report	Urban poverty 2025	38.8	38.8	exact
Report	Real per capita income 2025 (%)	−5.4	−5.1	range: −5.1 (December-to-December CPI) to −5.7 (survey-period CPI)
Report	Mean loss, percentiles 15–45 (%)	−7.0	−7.5	approximate (“about 7”)
Report	Average urban line 2025 (Bs)	1,328.0	1,327.5	exact (INE Table 3.06.01.05)
Report	Rural line 2025 (Bs)	986.0	986.4	exact (INE Table 3.06.01.05)

Sources: World Bank (2026a), World Bank PIP platform (accessed in October 2026), World Bank (2026b); author’s calculations using the EH (INE) and the SEDLAC files.

World Bank figures with the national line are reproduced within rounding (2/3)

Reproduction of the World Bank figures for Bolivia

Source	Indicator	Published	Reproduced	Status
PIP	2019: poverty at USD 3.00	3.14	3.14	exact with the harmonized SEDLAC file
PIP	2019: poverty at USD 4.20	5.75	5.75	exact with the harmonized SEDLAC file
PIP	2019: poverty at USD 8.30	17.82	17.82	exact with the harmonized SEDLAC file
PIP	2019: Gini	41.64	41.65	exact with the harmonized SEDLAC file
PIP	2024: poverty at USD 3.00	2.05	2.81	approximate: the 2024 public file lacks imputed rent
PIP	2024: poverty at USD 4.20	4.85	4.97	approximate: same reason

Sources: World Bank (2026a), World Bank PIP platform (accessed in October 2026), World Bank (2026b); author's calculations using the EH (INE) and the SEDLAC files.

World Bank figures with the national line are reproduced within rounding (3/3)

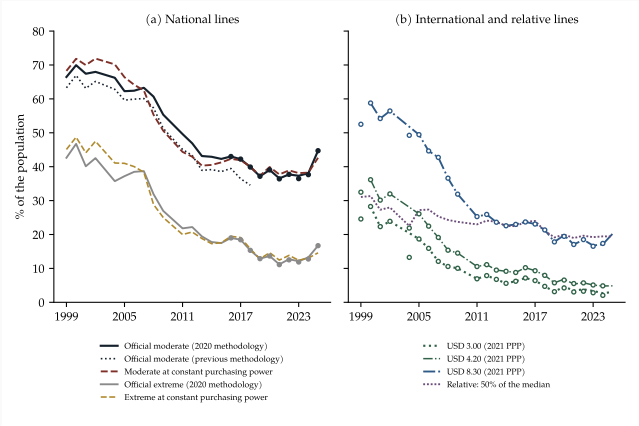
Reproduction of the World Bank figures for Bolivia

Source	Indicator	Published	Reproduced	Status
PIP	2024: poverty at USD 8.30	17.36	18.06	approximate: same reason
PIP	2024: Gini	40.87	40.37	approximate: same reason
PIP	2024: number of poor at USD 3.00 (thousands)	254.5	254.5	exact: PIP rate times PIP population
PIP	2024: number of poor at USD 8.30 (thousands)	2,155.0	2,155.0	exact: PIP rate times PIP population
MPO	2025: poverty at USD 8.30	20.9	22.6	approximate: 2025 SEDLAC deflator and aggregate not published
MPO	2025: GDP growth	−1.6	−1.6	exact (INE)

Sources: World Bank (2026a), World Bank PIP platform (accessed in October 2026), World Bank (2026b); author's calculations using the EH (INE) and the SEDLAC files.

Poverty fell with every line in 2005–2019 and rose with the national lines in 2025

Poverty incidence with nine lines, 1999–2025



Source: author's calculations using the MECOVI, the EH (INE) and the SEDLAC files.

Relative poverty fell from 27.2% in 2005 to 19.1% in 2019 and did not change later

Poverty incidence with nine lines, selected years, 1999–2025 (% of the population)

Year	Offic. mod. (previous)	Offic. mod. (2020)	Mod. at CPP	Offic. ext. (2020)	Ext. at CPP	USD 3.00	USD 4.20	USD 8.30	Relative 50%
1999	63.3	66.5	68.3	42.6	45.1	–	–	–	31.1
2000	66.9	69.9	71.8	46.7	48.7	28.3	36.2	58.8	31.3
2002	65.1	68.0	71.9	42.5	47.5	23.9	32.0	56.4	28.0
2003–04	62.8	66.2	70.2	35.7	41.1	–	–	–	22.5
2005	59.6	62.3	66.4	37.2	41.0	18.7	26.1	49.5	27.2
2007	60.1	63.3	62.5	38.7	38.4	12.1	19.1	42.7	25.3
2009	51.3	55.4	50.6	27.0	25.0	10.0	14.5	31.9	23.7
2011	45.1	49.6	44.4	21.8	20.0	6.9	10.6	25.3	23.0
2014	39.1	42.9	40.5	17.8	17.3	5.6	9.2	22.6	22.5
2017	36.4	42.2	41.9	18.5	19.1	6.4	9.3	23.1	24.0
2019	–	37.2	37.4	12.9	12.8	3.1	5.8	17.8	19.1
2021	–	36.6	37.7	11.2	12.4	3.5	5.4	17.1	19.0
2024	–	38.1	38.2	13.3	13.0	2.7	4.8	17.1	19.4
2025	–	44.7	42.6	16.7	14.6	3.0	4.9	20.2	19.4

Source: author's calculations using the ECH and the EH (INE), the SEDLAC files and the World Bank PIP platform.

In 2025 official moderate poverty rose 6.6 points and poverty at USD 8.30, 3.1

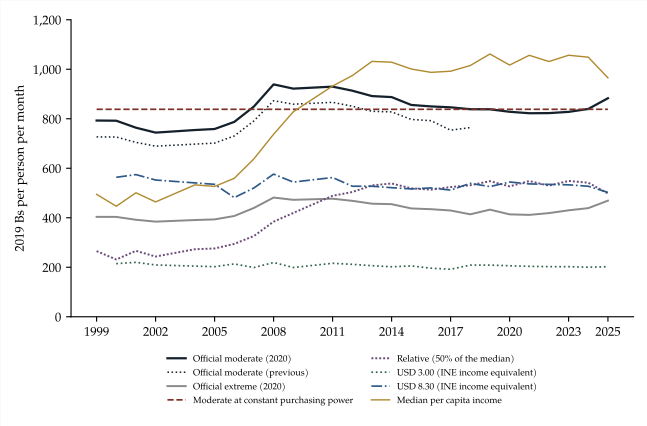
Change in poverty incidence by period and line (percentage points)

Period	Offic. mod. (2020)	Mod. at CPP	Offic. ext. (2020)	Ext. at CPP	USD 3.00	USD 4.20	USD 8.30	Relative 50%
2000–2005	−7.7*	−5.4*	−9.5*	−7.7*	−9.6*	−10.1*	−9.3*	−4.1*
	(1.6)	(1.5)	(1.7)	(1.6)	(1.6)	(1.6)	(1.7)	(1.6)
2005–2014	−19.3*	−25.9*	−19.4*	−23.7*	−13.1*	−16.9*	−26.9*	−4.7*
	(1.6)	(1.6)	(1.6)	(1.7)	(1.6)	(1.6)	(1.7)	(1.7)
2014–2019	−5.8*	−3.2*	−4.9*	−4.5*	−2.5*	−3.4*	−4.8*	−3.4*
	(1.3)	(1.3)	(1.2)	(1.2)	(0.8)	(1.0)	(1.2)	(1.2)
2019–2024	+0.9	+0.9	+0.4	+0.2	−0.5	−0.9	−0.7	+0.3
	(1.4)	(1.3)	(1.1)	(1.1)	(0.5)	(0.8)	(1.2)	(1.3)
2024–2025	+6.6*	+4.4*	+3.4*	+1.6	+0.4	+0.0	+3.1*	−0.0
	(1.4)	(1.4)	(1.2)	(1.1)	(0.5)	(0.7)	(1.3)	(1.3)
2000–2025	−25.2*	−29.2*	−30.0*	−34.1*	−25.2*	−31.3*	−38.6*	−11.9*
	(1.3)	(1.3)	(1.2)	(1.2)	(0.8)	(1.0)	(1.3)	(1.2)

Source: author's calculations.

The real value of the official moderate line rose 22.6% between 2005 and 2011

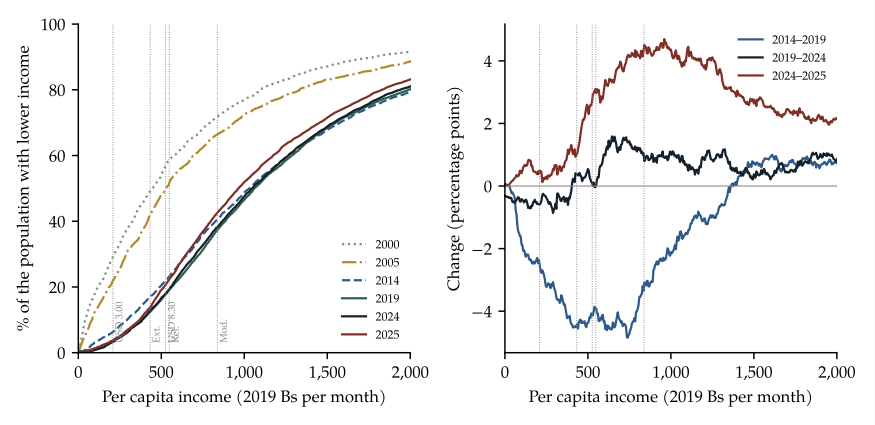
Real value of the poverty lines, 1999–2025



Source: author's calculations.

Between 2005 and 2014 poverty fell with any line, and in 2025 it fell with none

Poverty incidence curves and their change, selected years



Source: author's calculations using the EH (INE) and the SEDLAC files.

Between 2014 and 2019 poverty fell with any line up to Bs 1,365 of 2019

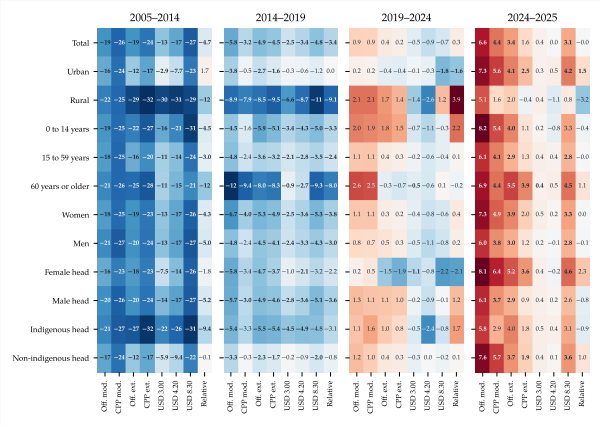
First-order dominance and first line at which the change reverses (Bs of 2019 per person and month)

Group	2005–2014	2014–2019	2019–2024	2024–2025
Total	falls (all lines)	falls up to 1,365	falls up to 405	rises (all lines)
Urban	falls (all lines)	rises up to 75	falls up to 615	rises (all lines)
Rural	falls (all lines)	falls (all lines)	falls up to 370	rises up to 225
Ages 0 to 14	falls (all lines)	falls up to 930	falls up to 225	rises up to 225
Ages 60 and over	falls (all lines)	falls (all lines)	falls up to 510	rises (all lines)
Women	falls (all lines)	falls up to 1,370	falls up to 405	rises (all lines)
Female-headed households	falls (all lines)	falls up to 990	falls up to 705	falls up to 80
Head with indigenous mother tongue	falls (all lines)	falls up to 2,490	falls up to 80	rises up to 1,360

Source: author's calculations.

Between 2019 and 2024 the sign of the change in poverty depends on the line

Change in poverty by group, line and period (percentage points)



Source: author's calculations using the EH (INE) and the SEDLAC files.

Children are poorer than people aged 15 to 59 in every year and with every line

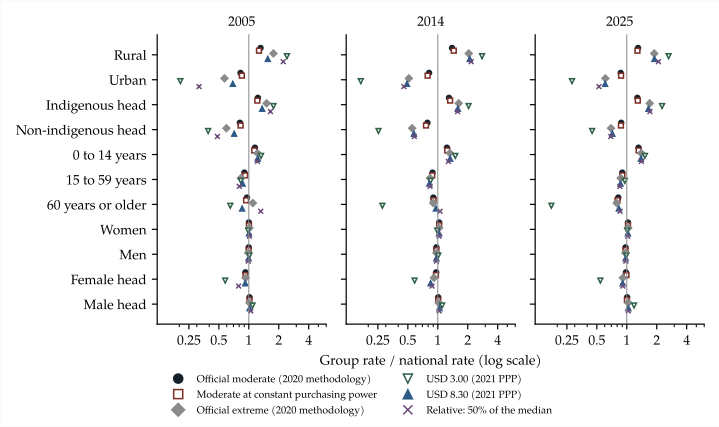
Poverty incidence by population group and line, 1999–2025



Source: author's calculations using the MECOVI, the EH (INE) and the SEDLAC files.

The relative Indigenous and rural disadvantage is larger with lower lines

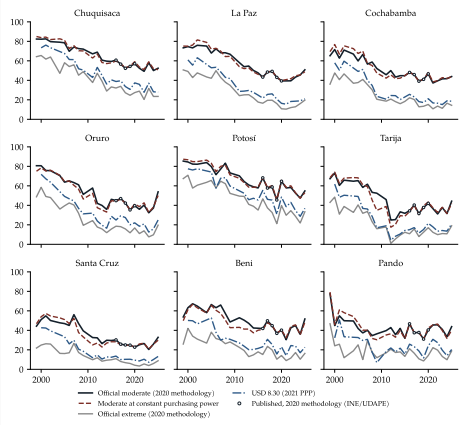
Poverty of each group relative to national poverty, by line



Source: author's calculations using the EH (INE) and the SEDLAC files.

The position of Oruro and Potosí relative to the national average depends on the line

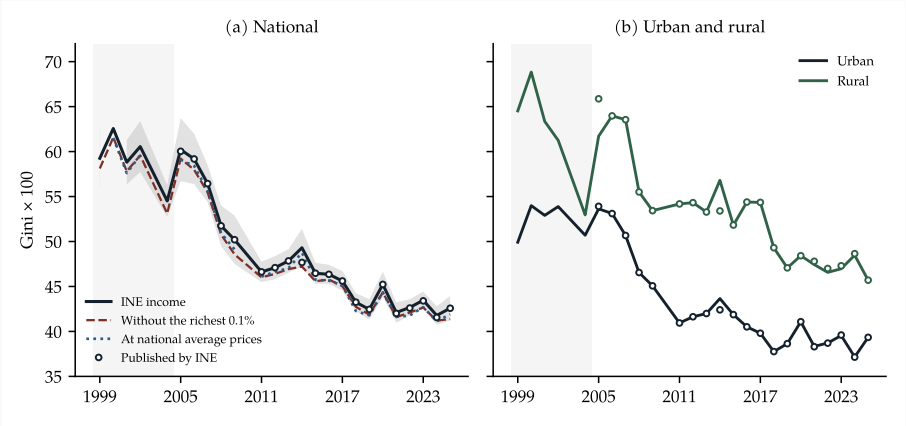
Poverty incidence by department and line, 1999–2025



Source: author's calculations using the MECOVI, the EH (INE) and the SEDLAC files; published figures from the Social and Economic Policy Analysis Unit, UDAPE (2022).

The Gini fell 10.9 points between 2005 and 2014 and another 6.9 between 2014 and 2019

Gini coefficient of per capita income, national, urban and rural, 1999–2025



Source: author's calculations using the MECOVI, the EH (INE) and the SEDLAC files.

The income share of the poorest 40% rose from 7.2% in 2005 to 14.8% in 2019 (1/2)

Inequality measures of per capita income, selected years

Measure	2005	2009	2014	2019	2020	2022	2024	2025
Gini	60.2	50.2	49.3	42.5	45.2	42.7	41.8	42.6
	(1.8)	(1.4)	(1.1)	(0.6)	(0.7)	(0.5)	(0.5)	(0.7)
GE(0), mean log deviation	79.9	52.9	47.8	33.6	39.0	34.6	32.2	33.7
	(5.0)	(3.4)	(2.2)	(1.0)	(1.4)	(1.0)	(0.9)	(1.2)
GE(1), Theil	74.5	50.7	50.8	32.1	37.6	32.1	30.8	34.2
	(6.9)	(5.4)	(5.0)	(1.1)	(1.9)	(0.8)	(0.8)	(2.6)
GE(2), half the CV^2	204.5	123.9	161.7	46.1	64.2	44.6	43.5	67.5
	(51.7)	(40.5)	(50.3)	(2.7)	(10.0)	(1.9)	(1.9)	(18.7)
Atkinson, $\varepsilon = 0.5$	31.2	22.0	21.1	15.0	17.2	15.2	14.5	15.3
	(1.9)	(1.4)	(1.2)	(0.4)	(0.6)	(0.4)	(0.4)	(0.7)
Atkinson, $\varepsilon = 1$	55.0	41.1	38.0	28.5	32.3	29.3	27.6	28.6
	(2.2)	(2.0)	(1.4)	(0.7)	(1.0)	(0.7)	(0.7)	(0.9)
Atkinson, $\varepsilon = 2$	90.0	77.0	69.5	55.7	60.1	59.0	52.2	55.5
	(2.0)	(2.8)	(1.8)	(1.5)	(1.5)	(1.5)	(1.4)	(1.7)

Source: author's calculations using the EH (INE) and the SEDLAC files.

The income share of the poorest 40% rose from 7.2% in 2005 to 14.8% in 2019 (2/2)

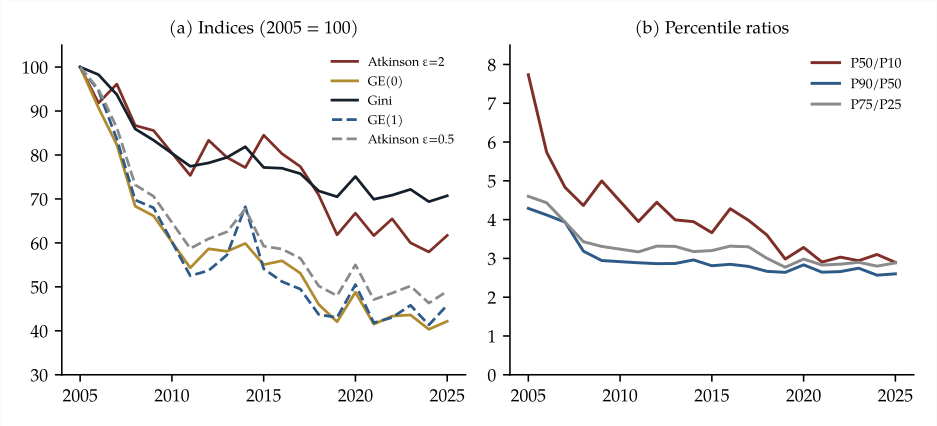
Inequality measures of per capita income, selected years

Measure	2005	2009	2014	2019	2020	2022	2024	2025
P90/P10	33.18	14.72	11.69	7.88	9.30	8.06	7.96	7.54
	(3.22)	(1.89)	(0.74)	(0.35)	(0.52)	(0.38)	(0.42)	(0.25)
P90/P50	4.29	2.95	2.96	2.64	2.83	2.66	2.57	2.60
	(0.18)	(0.09)	(0.05)	(0.05)	(0.06)	(0.05)	(0.05)	(0.05)
P50/P10	7.74	5.00	3.95	2.98	3.28	3.03	3.10	2.90
	(0.66)	(0.59)	(0.22)	(0.11)	(0.16)	(0.14)	(0.14)	(0.08)
P75/P25	4.60	3.31	3.18	2.77	2.98	2.85	2.80	2.88
	(0.32)	(0.16)	(0.07)	(0.05)	(0.07)	(0.07)	(0.06)	(0.06)
Palma ratio	6.41	3.35	3.13	2.10	2.46	2.13	2.03	2.13
	(0.71)	(0.28)	(0.18)	(0.07)	(0.10)	(0.06)	(0.06)	(0.09)
Share of the poorest 40% (%)	7.2	11.2	11.8	14.8	13.5	14.5	15.0	14.7
	(0.5)	(0.5)	(0.3)	(0.3)	(0.3)	(0.3)	(0.3)	(0.3)
Share of the richest 10% (%)	46.3	37.5	37.1	31.1	33.3	31.0	30.4	31.3
	(2.3)	(1.5)	(1.3)	(0.5)	(0.7)	(0.4)	(0.4)	(0.8)

Source: author's calculations using the EH (INE) and the SEDLAC files.

Between 2005 and 2019 all measures fell, and those sensitive to the bottom fell more

Inequality measures with different sensitivity, 2005–2025



Source: author's calculations using the EH (INE) and the SEDLAC files.

No national change in inequality in 2025 is statistically significant

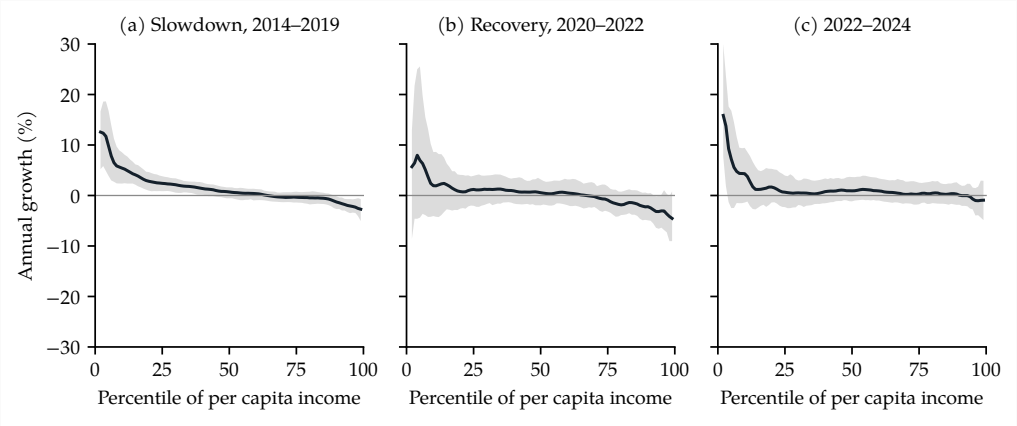
Change in inequality measures by episode

Episode	Gini	GE(0)	GE(1)	A(2)	P90/P50	P50/P10	Share 40%	Share 10%	Gini without the richest 0.1%
Boom (2005–2014)	−10.9*	−32.1*	−23.7*	−20.6*	−1.33*	−3.79*	4.6*	−9.2*	−12.0
	(2.1)	(5.4)	(8.6)	(2.7)	(0.19)	(0.69)	(0.6)	(2.7)	
Slowdown (2014–2019)	−6.9*	−14.2*	−18.8*	−13.8*	−0.32*	−0.96*	2.9*	−6.0*	−5.4
	(1.2)	(2.4)	(5.2)	(2.3)	(0.07)	(0.25)	(0.5)	(1.4)	
Pandemic (2019–2020)	2.8*	5.4*	5.6*	4.4*	0.19*	0.30	−1.3*	2.2*	2.5
	(0.9)	(1.8)	(2.1)	(2.1)	(0.08)	(0.20)	(0.4)	(0.9)	
Recovery (2020–2022)	−2.6*	−4.3*	−5.6*	−1.2	−0.18*	−0.25	1.0*	−2.3*	−2.2
	(0.9)	(1.7)	(2.0)	(2.1)	(0.08)	(0.21)	(0.4)	(0.8)	
Onset of the crisis (2022–2024)	−0.9	−2.4	−1.3	−6.8*	−0.09	0.07	0.4	−0.6	−0.9
	(0.7)	(1.3)	(1.2)	(2.0)	(0.07)	(0.20)	(0.4)	(0.5)	
Recession (2024–2025)	0.8	1.5	3.4	3.4	0.04	−0.20	−0.3	0.8	0.2
	(0.9)	(1.6)	(2.7)	(2.2)	(0.07)	(0.16)	(0.4)	(0.8)	
Crisis (2019–2025)	0.1	0.1	2.1	−0.1	−0.04	−0.09	−0.1	0.2	−0.5
	(0.9)	(1.6)	(2.8)	(2.3)	(0.07)	(0.14)	(0.4)	(0.9)	

Source: author's calculations using the EH (INE) and the SEDLAC files.

In 2014–2019 income grew up to about the 65th percentile and fell above it

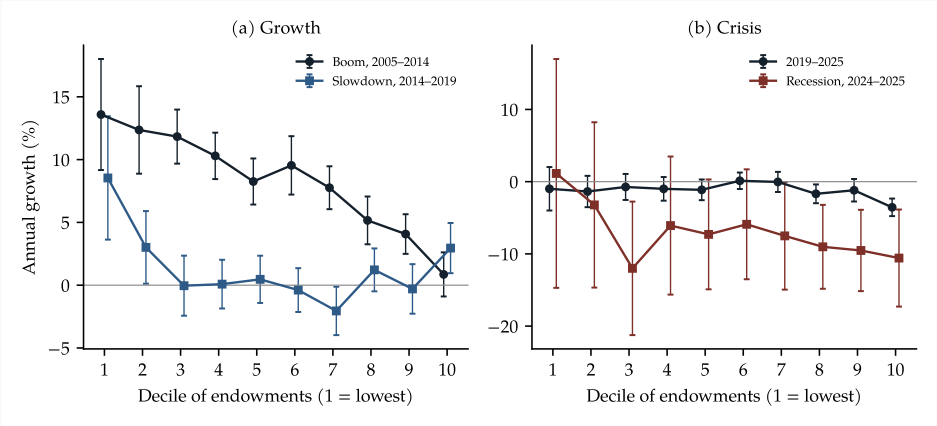
Growth incidence curves of real per capita income, 2014–2019, 2020–2022 and 2022–2024



Source: author's calculations using the EH (INE).

In the boom, the lowest-endowment decile grew 13.6% a year and the highest 0.9%

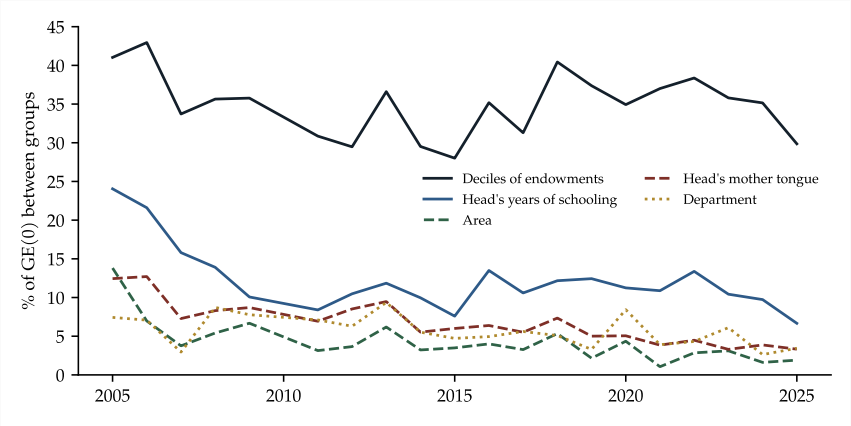
Real income growth by endowment decile



Source: author's calculations using the EH (INE) and the SEDLAC files.

Inequality between endowment deciles lost weight, mainly in 2025

Share of inequality between population groups, 2005–2025



Source: author's calculations using the EH (INE) and the SEDLAC files.

In 2014–2019 almost all of the fall in inequality occurred within groups (1/2)

Decomposition of the change in the mean log deviation by population group

Partition	Inequality within groups	Relative group incomes	Group size (within)	Group size (between)	Relative incomes, % of the change
Boom (2005–2014); total change in GE(0): −28.8					
Area	−18.8	−8.3	−1.2	−0.3	28.9
Head's mother tongue	−21.7	−6.6	−0.3	−0.1	22.8
Head's years of schooling	−13.9	−13.9	−1.6	0.7	48.4
Department	−25.5	−3.1	−0.2	0.1	10.6
Endowment deciles	−11.7	−17.0	−0.0	−0.0	58.9
Slowdown (2014–2019); total change in GE(0): −13.8					
Area	−12.7	−0.7	−0.4	−0.0	5.4
Head's mother tongue	−12.1	−0.7	−0.8	−0.2	5.2
Head's years of schooling	−12.7	−0.9	−0.6	0.3	6.5
Department	−12.3	−1.5	−0.1	0.0	10.7
Endowment deciles	−12.2	−1.6	0.0	0.0	11.7

Source: author's calculations using the EH (INE) and the SEDLAC files.

In 2014–2019 almost all of the fall in inequality occurred within groups (2/2)

Decomposition of the change in the mean log deviation by population group

Partition	Inequality within groups	Relative group incomes	Group size (within)	Group size (between)	Relative incomes, % of the change
Crisis (2019–2025); total change in GE(0): 0.2					
Area	0.2	−0.1	0.0	0.0	–
Head's mother tongue	0.9	−0.4	−0.2	−0.1	–
Head's years of schooling	2.5	−1.9	−0.4	0.1	–
Department	0.2	0.1	−0.1	−0.0	–
Endowment deciles	2.5	−2.3	−0.0	−0.0	–
Recession (2024–2025); total change in GE(0): 1.6					
Area	1.5	0.1	−0.0	−0.0	7.6
Head's mother tongue	1.8	−0.1	−0.1	−0.0	−4.5
Head's years of schooling	2.4	−0.8	−0.0	0.0	−53.4
Department	1.3	0.3	−0.0	0.0	19.2
Endowment deciles	2.7	−1.1	−0.0	−0.0	−73.1

Source: author's calculations using the EH (INE) and the SEDLAC files.

Labor income accounts for between 81% and 87% of household income

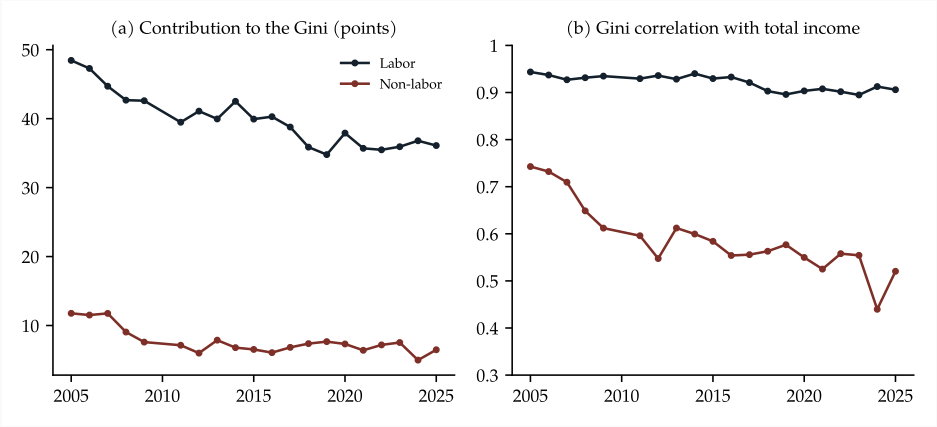
Decomposition of the Gini coefficient by income source

	2005	2014	2019	2020	2024	2025
Labor income						
Share of income, S_k (%)	82.1	86.7	84.3	82.4	85.4	84.6
Gini of the source, G_k	62.5	52.2	46.1	50.9	47.2	47.1
Gini correlation with income, R_k	0.94	0.94	0.90	0.90	0.91	0.91
Contribution to the Gini (%)	80.5	86.2	81.9	83.8	88.1	84.8
Elasticity of the Gini with respect to the source	−0.017	−0.005	−0.023	0.014	0.027	0.001
Non-labor income						
Share of income, S_k (%)	17.9	13.3	15.7	17.6	14.6	15.4
Gini of the source, G_k	88.6	85.2	84.6	75.9	77.7	81.1
Gini correlation with income, R_k	0.74	0.60	0.58	0.55	0.44	0.52
Contribution to the Gini (%)	19.5	13.8	18.1	16.2	11.9	15.2
Elasticity of the Gini with respect to the source	0.017	0.005	0.023	−0.014	−0.027	−0.001
Total Gini	60.2	49.3	42.5	45.2	41.8	42.6

Source: author's calculations using the EH (INE) and the SEDLAC files.

Between 2005 and 2019 labor income explains 76.9% of the fall in the Gini

Contribution of income sources to the Gini coefficient, 2005–2025



Source: author's calculations using the EH (INE) and the SEDLAC files.

Annexes on losses and the 2025 increase

The DS 5516 transfers exceed the loss of the poorest decile (1/2)

Loss by decile and component in three episodes

	1	2	3	4	5	6	7	8	9	10	Total
Pandemic, 2020 (EH 2020)											
Loss of labor income and of the income of the deceased	12.0	10.2	9.0	8.7	8.9	8.9	8.3	8.8	7.6	5.1	7.4
Emergency cash transfers	−15.7	−6.5	−4.5	−3.4	−2.8	−2.3	−1.9	−1.4	−1.0	−0.4	−1.8
Net loss	−3.6	3.7	4.5	5.3	6.0	6.6	6.4	7.3	6.7	4.6	5.6
Dollar shortage, Nov. 2022–Nov. 2025 (EH 2022)											
Prices above normal inflation	25.1	25.8	25.8	26.1	25.3	24.0	22.9	23.0	21.0	18.5	21.9
Nominal incomes above normal inflation	−33.1	−18.5	−15.3	−14.2	−15.0	−16.1	−16.0	−15.2	−14.0	−11.9	−14.4
Net loss	−8.0	7.4	10.5	11.8	10.3	7.9	6.9	7.8	7.0	6.6	7.5

Source: author's calculations using the EH 2020, 2022 and 2025 and the consumer price index (INE).

The DS 5516 transfers exceed the loss of the poorest decile (2/2)

Loss by decile and component in three episodes

	1	2	3	4	5	6	7	8	9	10	Total
Fuel decree, Dec. 2025 (EH 2025)											
Prices: fuel and cost of other purchases	4.0	3.9	3.9	4.2	3.8	3.9	4.2	4.5	4.4	5.0	4.4
Incomes: exports, farm and transport costs, demand	2.4	2.1	2.6	3.4	2.7	3.0	3.8	2.9	2.8	2.0	2.6
Gross loss	6.4	6.0	6.5	7.5	6.5	6.9	8.0	7.4	7.2	7.0	7.1
Compensation: transfers, minimum wage, demand	−7.0	−4.9	−3.8	−3.0	−2.5	−2.5	−2.0	−1.9	−1.6	−1.0	−2.0
Net loss	−0.6	1.2	2.7	4.6	4.0	4.4	6.0	5.5	5.6	6.0	5.1
Compensation as % of gross loss	110	81	59	40	39	36	24	25	22	14	28

Source: author's calculations using the EH 2020, 2022 and 2025 and the consumer price index (INE).

In the dollar shortage, transport contributed 0.5 points to the cost of prices

Cost of prices in the dollar shortage by division of the price index

Price index division	Points of income	% of the price cost
Food and non-alcoholic beverages	16.2	74.1
Alcoholic beverages and tobacco	0.1	0.3
Clothing and footwear	0.5	2.1
Housing, water, electricity, gas and other fuels	0.2	0.8
Furnishings, household equipment and maintenance	1.0	4.8
Health	0.6	2.9
Transport	0.5	2.1
Communications	−0.3	−1.5
Recreation and culture	0.8	3.7
Education	−0.1	−0.5
Restaurants and hotels	1.1	5.0
Miscellaneous goods and services	1.3	6.1
Total	21.9	100.0

Source: author's calculations using the EH 2022 and 2025 and the consumer price index (INE).

In the shortage, the basket cost gives the smaller of the two losses (1/2)

Real income loss and cost of the consumption basket

	Loss (% of income)	Decile 1	Decile 5	Decile 10	Moderate poverty (points)	Gini (points)
Dollar shortage						
Real income loss	7.5	−8.0	10.3	6.6	6.0	0.3
Cost of the consumption basket relative to income	3.1	27.7	8.9	−2.0	5.6	3.2
Decree, gross loss						
Real income loss	7.1	6.4	6.5	7.0	4.0	0.2
Cost of the consumption basket relative to income	6.0	12.7	6.4	4.4	3.7	1.0

Source: author's calculations using the EH 2022 and 2025 and the consumer price index (INE).

In the shortage, the basket cost gives the smaller of the two losses (2/2)

Real income loss and cost of the consumption basket

	Loss (% of income)	Decile 1	Decile 5	Decile 10	Moderate poverty (points)	Gini (points)
Decree, net loss						
Real income loss	5.1	−0.6	4.0	6.0	2.6	−0.3
Cost of the consumption basket relative to income	4.0	5.6	3.9	3.4	2.1	0.4
Dollar shortage, normal inflation of each product						
Real income loss	5.9	−12.2	7.0	6.9	3.6	−0.5

Source: author's calculations using the EH 2022 and 2025 and the consumer price index (INE).

In the shortage, all who fall below the line are from the third to sixth deciles

People who fall below the moderate line by decile, and consumption over income

	1	2	3	4	5	6	7	8	9	10
People falling below the moderate line, % of the episode total										
Pandemic (EH 2020)	0	0	8	27	23	22	8	7	3	2
Dollar shortage (EH 2022)	0	0	25	26	27	23	0	0	0	0
Decree, net (EH 2025)	0	0	0	26	34	26	11	1	1	1
Consumption over income (EH 2025)	2.49	1.39	1.21	1.07	0.95	0.88	0.78	0.72	0.68	0.52

Source: author's calculations using the EH 2020, 2022 and 2025 (INE).

Non-labor income of the poorest decile grew 65% between 2022 and 2025

Growth of nominal per capita income by decile, EH 2022 to EH 2025

	1	2	3	4	5	6	7	8	9	10
Per capita income, change %	47	31	27	26	27	28	28	27	26	28
Per capita labor income, change %	41	35	24	21	25	27	29	27	28	31
Per capita non-labor income, change %	65	20	46	63	39	37	22	28	12	20
Rural population, % (2022)	76	52	39	34	22	26	20	17	12	12
Rural population, % (2025)	70	55	37	32	23	20	20	19	17	13

Source: author's calculations using the EH 2022 and 2025 (INE).

The moderate line rose between 22.7% in Sucre and 35.4% in Potosí

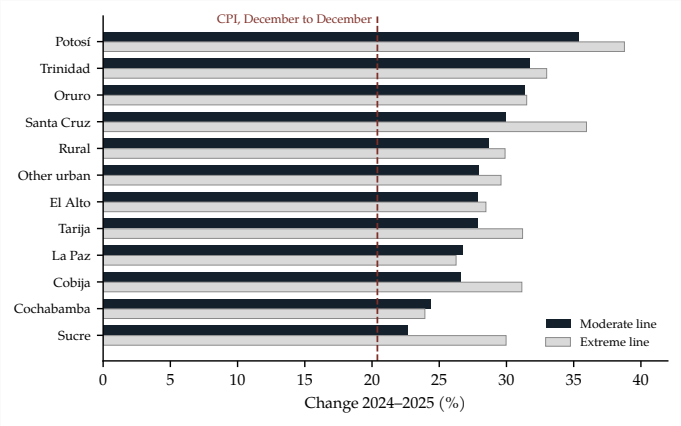
Poverty lines by domain, 2024 and 2025 (Bs per person per month)

Domain	Line 2024	Line 2025	Change % moderate	Change % extreme
Potosí	1,084.32	1,467.86	35.4	38.8
Trinidad	980.18	1,291.47	31.8	33.0
Oruro	992.91	1,304.43	31.4	31.5
Santa Cruz	946.09	1,229.24	29.9	36.0
Rural	766.78	986.44	28.6	29.9
Other urban	908.64	1,162.27	27.9	29.6
El Alto	1,216.39	1,555.24	27.9	28.5
Tarija	1,166.12	1,490.73	27.8	31.2
La Paz	1,228.81	1,557.71	26.8	26.3
Cobija	1,122.31	1,421.11	26.6	31.1
Cochabamba	1,191.50	1,481.51	24.3	23.9
Sucre	1,156.67	1,418.70	22.7	30.0

Source: household poverty lines in the EH 2024 (new INE release, with the 2025 Revision expansion factors) and the EH 2025; they match INE Table 3.06.01.05 except for the 2024 rural line, which the new release revised.

In every domain the moderate line rose more than the CPI, which increased 20.4%

Change in the poverty lines by domain and in the CPI, 2024–2025



Source: author's calculations using the EH 2024 and the EH 2025, and INE, consumer price index.

The basket explains 2.1 of the 3.4 points by which extreme poverty increased

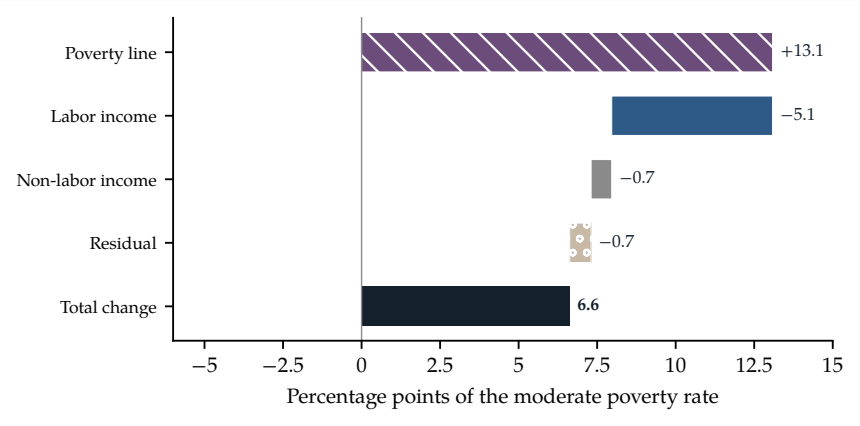
Decomposition of the increase in moderate and extreme poverty, 2024–2025

	Moderate poverty	Extreme poverty
Poverty rate 2024	38.1	13.3
Poverty rate 2025	44.7	16.7
Poverty rate 2025 with the 2024 line updated by the CPI	41.3	14.6
Total change (points)	6.6	3.4
Basket above the CPI	3.4	2.1
Mean real income	2.2	1.3
Distribution	1.0	0.0
Income relative to the line (growth)	5.6	3.5
Mean nominal income	−6.9	−3.7
Poverty line	12.5	7.2
Part that follows the CPI	9.1	5.0
Basket above the CPI	3.4	2.1

Source: author's calculations using the EH 2024 (2025 Revision expansion factors) and the EH 2025.

The nominal rise in the lines added 13.1 points and labor income subtracted 5.1

Decomposition of the increase in moderate poverty by income source, 2024–2025



Source: author's calculations using the EH 2024 (2025 Revision expansion factors) and the EH 2025.

Since 2019 mean labor income per worker has lost 15.9% in real terms

Labor market according to the EH, 2019–2025

Year	Employment	Employees	Self-employed	Unpaid family	Hours	Mean income	Median income
2019	67.9	33.9	44.1	15.7	43.2	3,045	2,516
2020	64.3	30.6	47.1	17.3	44.0	3,061	2,432
2021	65.1	32.6	46.4	15.5	42.3	3,005	2,532
2022	64.0	33.2	45.5	14.5	44.6	2,973	2,429
2023	64.7	33.4	47.9	12.9	45.9	2,946	2,407
2024	66.7	34.9	45.5	13.9	45.3	2,820	2,328
2025	67.4	35.4	46.3	13.3	45.8	2,563	2,104

Source: author's calculations using the EH.

In 2025 employment rose and mean real earnings per worker fell 9.1%

Employment and labor income in the EH and in the ECE

	EH, national 2024 to 2025	ECE, capitals and conurbations 2022 to 2025
Employment rate (%)	66.7 to 67.4	69.8 to 74.0
Unemployment rate (%)		4.8 to 3.1
Informal jobs (% of workers)		71.3 to 73.6
Self-employed workers (% of workers)	45.5 to 46.3	
Weekly hours of workers	45.3 to 45.8	
Real change, %		
Mean labor income per worker	−9.1	−21.2
Median labor income per worker	−9.6	
Geometric mean of main-job income		−22.2
Labor income per person aged 14 or older		−14.8
Household per capita labor income	−6.0	

Source: author's calculations using the EH and the ECE.

Exits to informality are not significantly associated with exposure

Exposure to the dollar and fuel shortage, and exits from formal jobs, ECE

		Status in the next quarter (points)		Income of those who
Exposure (standard deviations)	Period	Informal job	Without work	stay formal (log)
Imported content of inputs	2023	0.1 (0.56)	0.5 (0.40)	0.0 (0.59)
	2024–2025	0.6 (0.44)	0.3 (0.32)	−0.3 (0.43)
Fuel content of inputs	2023	−0.2 (0.28)	0.5 (0.20)	0.1 (0.39)
	2024–2025	−0.4 (0.25)	0.8 (0.20)	0.1 (0.15)
Trade in imported goods	2023	−1.3 (0.44)	−0.5 (0.36)	−0.4 (0.61)
	2024–2025	−0.1 (0.43)	−0.2 (0.35)	0.3 (0.41)
Cluster bootstrap *p*-value, 2024–2025, exit to informal job: imported 0.22; fuel 0.30; trade 0.91				

Source: author's calculations using the ECE, urban panel domain.

In 2024–2025, 42.1% of entries involved only a fall in real labor income

Household changes of people who entered urban labor-income poverty, ECE

Change between the previous quarter and the quarter of entry	Recovery	2024–2025
A member lost their job	36.8	34.0
A member moved from a formal to an informal job	5.0	6.7
Another change in a member's labor market status	12.6	11.5
The number of members changed	5.4	5.5
Real labor income fell, with no change in status or members	40.2	42.1

Source: author's calculations using the ECE, urban panel domain (capital cities and their conurbations).

The zero-correlation bound gives maximum mobility between 2024 and 2025

Poverty transitions 2024–2025 under three assumptions on the correlation of the errors

Assumption	ρ	Poor both years	Entered	Exited	Never poor	P(fall | not poor)	P(stay | poor)
Point estimate	0.88	38.2	11.3	4.5	46.0	19.7	89.4
Bound with zero correlation	0.00	24.2	25.3	18.5	32.0	44.1	56.6
Correlation 0.9	0.90	38.8	10.6	3.9	46.7	18.6	90.9

Source: author's calculations using the EH 2024 (2025 Revision expansion factors) and the EH 2025, with the method of Dang et al. (2014).

Transitions worsened more in cities and with more educated household heads

Probabilities of falling into and exiting poverty by group, EH synthetic panels

		Fall, if not poor		Exit, if poor	
Group	Population (%)	2023–2024	2024–2025	2023–2024	2024–2025
Urban area	71.5	11.9	18.5	19.1	11.2
Rural area	28.5	19.6	24.0	13.5	9.5
Head with 0 to 5 years of schooling	18.3	20.8	26.3	12.9	8.6
Head with 6 to 11 years of schooling	23.2	17.2	22.5	15.0	10.3
Head with 12 years of schooling	28.8	14.5	20.4	18.1	11.5
Head with 13 or more years of schooling	29.6	8.6	15.7	24.6	12.6

Source: author's calculations using the EH 2023, 2024 and 2025, with the method of Dang et al. (2014).

Annexes on rents, the decree and the projection

Households received, directly and indirectly, 42.6% of the total subsidy

The 2025 fuel subsidy by who received it

	Bs million	US$ million	% of subsidy	% of household income
Subsidy relative to import parity, official exchange rate	19,058	2,738	100	7.3
Smuggling and diversion	5,717	821	30.0	2.2
Households	8,123	1,167	42.6	3.1
Government consumption	608	87	3.2	0.2
Investment and inventories	541	78	2.8	0.2
Exports	1,687	242	8.9	0.6
State hydrocarbon and electricity companies	1,744	251	9.2	0.7
Unallocated	637	92	3.3	0.2
Memo: households, measured with the EH 2025	8,337	1,198	43.7	3.2
Memo: Treasury transfers to YPFB	14,940	2,147		5.7
Memo: subsidy relative to import parity, parallel exchange rate	49,597	3,899		19.0

Source: author's calculations using data from YPFB, Fundación Jubileo, INE and the EH 2025.

Foreign currency sold by the BCB transferred Bs 2,357 million in 2024

Rents from official prices and gains from the crisis by year, 2023–2025

	Bs million, November 2025 prices			% of household income		
	2023	2024	2025	2023	2024	2025
Fuel subsidy: cost to the Treasury	16,892	17,646	15,847	6.5	6.8	6.1
Dollars at the official rate to import fuel	1,648	7,761	12,159	0.6	3.0	4.7
BCB dollars to banks and the public at the official rate	1,068	2,357	n.a.	0.4	0.9	n.a.
Remittances valued at the parallel rate	883	4,123	7,961	0.3	1.6	3.0
Non-gas exports at the parallel rate (upper bound)	5,371	23,842	53,657	2.1	9.1	20.5
Above-normal inflation: gain of boliviano debtors	−4,733	15,593	34,861	−1.8	6.0	13.3
Above-normal inflation: gain of boliviano depositors	4,338	−14,653	−33,501	1.7	−5.6	−12.8
Memo: average parallel rate (Bs per dollar)	7.42	9.53	12.92			

Source: author's calculations using BCB, ASFI and INE data and the EH 2025.

Subsidy incidence was 3.5% to 5.0% of income in every decile

Gains recorded in the survey and loss from the decree by decile, EH 2025 (% of the decile's income)

	Gains recorded in the EH 2025					Loss from the fuel decree			
Decile	Subsidy, % of income	Subsidy, Bs million per month	Subsidy, % of total	Dollar remittances, % of income	Farm sales, % of income	Prices	Incomes	Compen-sation	Net
1	3.9	35	5.1	0.0	2.0	4.0	2.4	−7.0	−0.6
2	3.7	37	5.3	0.1	1.1	3.9	2.1	−4.9	1.2
3	3.7	43	6.2	0.0	0.6	3.9	2.6	−3.8	2.7
4	3.9	49	7.1	0.1	0.5	4.2	3.4	−3.0	4.6
5	3.5	50	7.2	0.2	0.4	3.8	2.7	−2.5	4.0
6	3.5	57	8.2	0.1	0.3	3.9	3.0	−2.5	4.4
7	4.0	70	10.1	0.2	0.2	4.2	3.8	−2.0	6.0
8	4.3	85	12.2	0.3	0.3	4.5	2.9	−1.9	5.5
9	4.2	102	14.7	0.4	0.3	4.4	2.8	−1.6	5.6
10	5.0	166	23.9	1.3	0.2	5.0	2.0	−1.0	6.0
Total	4.3	695	100.0	0.6	0.3	4.4	2.6	−2.0	5.1

Source: author's calculations using the EH 2025.

Fuel spending rises with the dose, and the placebos give values close to zero

Effect of the dose of new prices on spending, robustness and placebos, EH 2025

Specification	Vehicle fuel	Urban fares
Baseline (new prices from 18 December)	0.521 (0.153)	0.269 (0.135)
New prices from 19 December	0.579 (0.174)	0.298 (0.150)
With expansion factors	0.764 (0.193)	0.212 (0.139)
Item-by-stratum fixed effects	0.489 (0.157)	0.219 (0.141)
Only PSUs with precise dates	0.590 (0.162)	0.265 (0.145)
Placebo: fictitious decree on 9 December	0.069 (0.392)	0.564 (0.425)
Placebo: fictitious decree on 5 December	0.031 (0.238)	0.239 (0.255)

Source: author's calculations using the EH 2025.

The two measures coincide on the income side and differ on the price side

From the standard estimate to the net loss from the decree, by measure, EH 2025 (% of income)

	Real income loss			Basket cost / income		
	Total	Decile 1	Decile 10	Total	Decile 1	Decile 10
Standard estimate	5.0	4.6	5.6	3.8	12.2	2.8
Purchases at the cost increase	4.4	4.0	5.0	3.3	10.2	2.4
Fuel cost of exports	0.5	0.2	0.4	0.5	0.2	0.4
Fuel costs of farming and own-account transport	0.0	1.3	−0.5	0.0	1.3	−0.5
Demand contraction	2.1	0.9	2.1	2.1	0.9	2.1
Gross loss	**7.1**	**6.4**	**7.0**	**6.0**	**12.7**	**4.4**
Transfers paid	−1.0	−6.7	−0.2	−1.0	−6.7	−0.2
Minimum wage increase	−0.3	0.0	−0.1	−0.3	0.0	−0.1
Smaller demand contraction due to compensation	−0.7	−0.3	−0.6	−0.7	−0.3	−0.6
Net loss	**5.1**	**−0.6**	**6.0**	**4.0**	**5.6**	**3.4**

Source: author's calculations using the EH 2025 and the 2014 input-output matrix.

Average pass-through fits the model, which explains 9% of the variance (1/2)

Predicted and observed price increases after the decree

Product group	Predicted increase (%)	Observed increase (%)	Weight in the CPI (%)
Public transport fares	23.3	25.9	6.3
Food	3.1	7.5	27.1
Clothing, furniture, durables and other goods	4.3	−3.5	28.3
Housing, health, communication, education and restaurants	2.4	4.3	32.7
Other	7.7	−3.6	1.4
Regression of the observed change on the predicted change, 392 products			
2014 matrix: slope (standard error)	0.72 (0.26); without constant 0.75 (0.18); R^2 0.09		
Average of the 1991 to 2014 matrices: slope (standard error)	0.83 (0.24); without constant 0.84 (0.17); R^2 0.11		

Source: author's calculations using the INE CPI, the 2014 input-output matrix and the 2015–2016 Household Budget Survey.

Average pass-through fits the model, which explains 9% of the variance (2/2)

Predicted and observed price increases after the decree

Products with less than 10% imported content: cost increase and observed change (%)

	Cost increase	Nov. 2025 to Jun. 2026	Nov. 2025 to Sep. 2026
Fares	21.0	23.0	22.6
Food	3.0	7.9	−1.1
Other goods and services	2.2	4.1	4.7

Source: author's calculations using the INE CPI, the 2014 input-output matrix and the 2015–2016 Household Budget Survey.

Growth implied by NO_2 has a correlation of 0.92 with GDP growth (1/2)

Growth of urban NO_2 and implied GDP, 2020–2026

Period	NO_2 (%)	Implied GDP (%)	INE GDP (%)
2020	−12.6	−6.8	−8.74
2021	10.9	5.9	6.11
2022	9.3	5.1	3.61
2023	8.1	4.4	2.52
2024	−4.4	−2.4	−1.12
2025	−10.1	−5.5	−1.58
January to September 2026 vs. same period of 2025	−3.9	−2.1	
October 2025 to September 2026 vs. previous twelve months	−5.5	−3.0	
January to June 2026 vs. same period of 2025 (excluding burning season)	1.2	0.6	

Source: author's calculations using data from Sentinel-5P TROPOMI; INE.

Growth implied by NO_2 has a correlation of 0.92 with GDP growth (2/2)

Growth of urban NO_2 and implied GDP, 2020–2026

Period	NO_2 (%)	Implied GDP (%)	INE GDP (%)
2020 excluding burning season	−18.4	−10.1	
2021 excluding burning season	13.9	7.6	
2022 excluding burning season	8.3	4.5	
2023 excluding burning season	5.1	2.8	
2024 excluding burning season	−5.0	−2.7	
2025 excluding burning season	−5.9	−3.2	

Source: author's calculations using data from Sentinel-5P TROPOMI; INE.

World Bank and IMF forecasts for 2026 turned negative in 2025 (1/2)

Forecasts of Bolivia's real GDP growth by publication date (%)

Date	Source	Document	2025	2026	2027
2024-12	ECLAC	Preliminary Overview 2024	2.1		
2025-01	BCB	Monetary Policy Report Jan 2025	3.5		
2025-01	World Bank	Global Economic Prospects Jan 2025	1.5	1.5	
2025-04	BCB	Annual Report 2024 Presentation	3.5		
2025-04	IMF	World Economic Outlook Apr 2025	1.1	0.9	
2025-04	World Bank	Macro Poverty Outlook Bolivia Apr 2025	1.2	1.1	1.1
2025-06	World Bank	Global Economic Prospects Jun 2025	1.2	1.1	1.1
2025-07	BCB	Monetary Policy Report Jul 2025	3.5		
2025-08	ECLAC	Economic Survey 2025	1.5	1.1	

Sources: documents cited in each row; author's compilation.

World Bank and IMF forecasts for 2026 turned negative in 2025 (2/2)

Forecasts of Bolivia's real GDP growth by publication date (%)

Date	Source	Document	2025	2026	2027
2025-10	IMF	World Economic Outlook Oct 2025	0.6		
2025-10	World Bank	LAC Economic Review Oct 2025	−0.5	−1.1	−1.5
2025-10	World Bank	Macro Poverty Outlook Bolivia Oct 2025	−0.5	−1.1	−1.5
2025-12	ECLAC	Preliminary Overview 2025	0.5	0.5	
2026-01	World Bank	Global Economic Prospects Jan 2026	−0.5	−1.1	−1.5
2026-04	IMF	World Economic Outlook Apr 2026	−1.2	−3.3	
2026-04	World Bank	LAC Economic Update Apr 2026	−2.1	−3.2	4.0
2026-04	World Bank	Macro Poverty Outlook Bolivia Apr 2026	−2.1	−3.2	4.0
2026-06	World Bank	Global Economic Prospects Jun 2026	−1.6	−3.2	4.0
2026-08	ECLAC	Economic Survey 2026	−1.6	0.5	0.8
2026-10	IMF	World Economic Outlook Oct 2026	−1.6	−3.0	−1.5
2026-10	World Bank	LAC Economic Update Oct 2026	−1.6	−2.8	−1.4
2026-10	World Bank	Macro Poverty Outlook Bolivia Oct 2026	−1.6	−2.8	−1.4

Sources: documents cited in each row; author's compilation.

Uncaptured incomes subtract between 2.6 and 3.8 poverty points per year

Contribution of each component to the change in moderate poverty and to the income loss, 2026–2028

	Moderate poverty (points)			Loss (% of income)		
Component	2026	2027	2028	2026	2027	2028
Fuel decree (DS 5503/5516)	3.62	3.86	3.92	7.09	7.09	7.09
New diesel and gasoline prices		3.77	3.87		7.22	7.22
Float	0.90	0.93	0.98	1.54	1.54	1.54
Other price movements, Nov. 2025–Sep. 2026	−3.12	−3.15	−3.21	−5.05	−5.08	−5.10
Transfers	−1.19	−1.31	0.00	−1.49	−1.62	0.00
Minimum wage	−0.32	−0.29	−0.28	−0.51	−0.44	−0.41
Public payroll	0.68	1.13	1.33	1.60	2.48	2.86
Public purchases	0.17	0.48	0.60	0.34	0.85	1.05
Public investment	0.56	0.48	0.26	0.88	0.69	0.39
Taxes		−0.98	0.11		−1.67	0.19
Rest of the recession	2.08	3.02	2.83	3.17	4.10	3.55
Incomes in the national accounts not captured by the survey	−2.64	−3.77	−3.57	−7.29	−10.39	−9.47
Composition of population and employment	0.84	1.51	1.96	−0.06	−0.13	−0.15
Total	1.59	5.68	8.80	0.22	4.64	8.76

Source: author's calculations.

Depending on the growth forecast, projected poverty varies by about four points

Moderate poverty in each scenario, 2026–2028 (% of people)

2026 growth (%)	Uncaptured incomes allocated by	2026	2027	2028
IMF (−3.0)	remittances and exported output	46.3 (44.4–48.2)	50.4 (48.7–52.2)	53.5 (51.9–55.3)
IMF (−3.0)	household income	45.3 (43.6–47.1)	48.2 (46.3–50.0)	51.4 (49.4–53.2)
World Bank (−2.8)	remittances and exported output	46.1 (44.2–48.0)	50.3 (48.4–52.0)	53.4 (51.8–55.2)
World Bank (−2.8)	household income	45.2 (43.4–46.9)	48.1 (46.2–49.9)	51.3 (49.3–53.1)
Smoke-adjusted satellite series (−1.4)	remittances and exported output	45.1 (43.2–46.9)	48.9 (47.1–50.7)	52.0 (50.2–53.9)
Smoke-adjusted satellite series (−1.4)	household income	44.1 (42.4–46.0)	47.4 (45.5–49.2)	50.3 (48.5–52.2)
Lower bound of the satellite series (−6.0)	remittances and exported output	49.0 (47.1–50.9)	53.0 (51.4–54.7)	55.8 (54.4–57.6)
Lower bound of the satellite series (−6.0)	household income	47.2 (45.4–48.9)	50.5 (48.7–52.2)	53.9 (52.1–55.6)

Source: author's calculations using the EH 2025 and International Monetary Fund (2026a).

Without uncaptured incomes, the third to sixth deciles lose 4.8% to 6.8% in 2026

Income loss by decile, 2026–2028 (% of 2025 income)

	Central value			Without uncaptured incomes			Consumption cost		
Decile	2026	2027	2028	2026	2027	2028	2026	2027	2028
1	−5.7	−3.0	6.1	−2.4	1.8	10.4	−4.6	3.4	14.3
2	−2.2	1.8	8.6	2.7	8.7	14.9	−1.9	3.4	10.7
3	−1.7	2.6	8.4	4.8	11.9	16.9	−1.5	3.6	9.7
4	−1.5	2.9	8.0	5.7	13.1	17.3	−1.4	3.2	8.4
5	−0.1	4.0	8.5	6.4	13.3	17.0	−0.1	4.1	8.5
6	−0.9	3.1	7.6	6.8	14.1	17.5	−0.8	3.1	7.3
7	2.1	7.4	11.5	8.9	17.0	20.2	1.9	6.7	10.5
8	2.0	7.4	11.2	8.4	16.5	19.6	1.4	5.9	9.4
9	2.6	7.9	11.5	8.7	16.5	19.4	1.9	6.2	9.4
10	−0.5	3.6	7.1	8.6	16.5	18.9	−2.6	−0.8	2.1

Source: author's calculations.

Annexes on the pandemic, the causes of poverty and the State

Moderate poverty was 37.2% in 2019, 39.0% in 2020 and 36.4% in 2021 (1/2)

Poverty, inequality and employment, 2018–2022

	2018	2019	2020	2021	2022
Moderate poverty (%)	34.6	37.2	39.0	36.4	37.7
	(0.8)	(0.9)	(1.0)	(0.9)	(0.9)
Extreme poverty (%)	15.2	12.9	13.7	11.1	12.5
	(0.7)	(0.7)	(0.7)	(0.7)	(0.7)
Mean per capita income (2019 Bs)	1,355	1,431	1,426	1,407	1,382
	(17)	(24)	(31)	(22)	(19)
Median per capita income (2019 Bs)	1,024	1,067	1,019	1,063	1,034
	(12)	(18)	(20)	(17)	(16)

Source: author's calculations using the EH 2018 to 2022.

Moderate poverty was 37.2% in 2019, 39.0% in 2020 and 36.4% in 2021 (2/2)

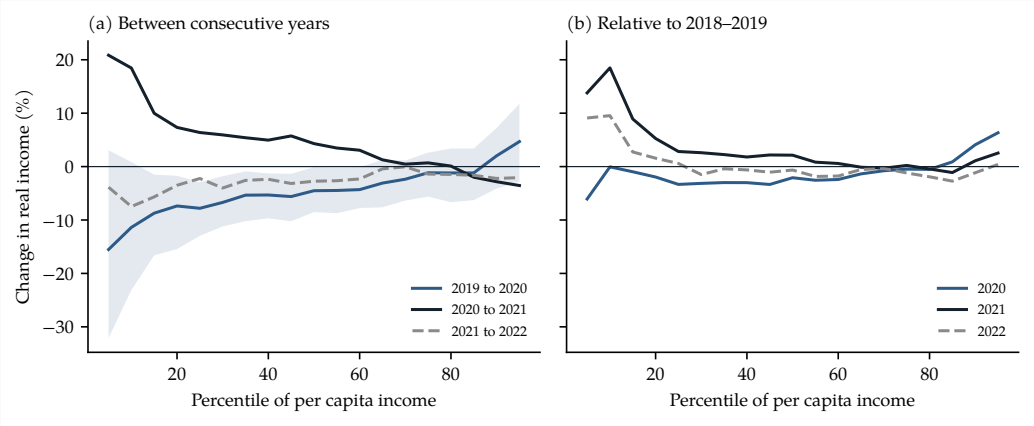
Poverty, inequality and employment, 2018–2022

	2018	2019	2020	2021	2022
Gini coefficient (points)[a]	43.4	42.7	45.2	42.0	42.6
	(0.5)	(0.5)	(0.7)	(0.6)	(0.5)
Theil index ($\times$100)	32.9	32.4	37.7	31.1	32.0
	(0.8)	(1.0)	(1.9)	(0.9)	(0.9)
90/10 ratio	9.84	8.09	9.31	7.64	8.07
	(0.49)	(0.37)	(0.52)	(0.37)	(0.39)
Employment rate, ages 15 to 64 (%)	67.3	70.3	67.2	67.8	67.1
Unemployment rate, ages 15 to 64 (%)	4.0	4.5	9.0	5.4	6.0
urban area (%)	5.4	6.2	12.2	7.1	7.8

Source: author's calculations using the EH 2018 to 2022.

In 2019–2020 real income fell 11.4% at the 10th percentile and rose 2.0% at the 90th

Growth incidence curves of real per capita income, 2019–2022



Source: author's calculations using the EH 2018 to 2022.

Without the pandemic, 2020 poverty would have been 35.4% (1/2)

The 2020 distribution, observed and without the pandemic

	Moderate poverty (%)	Extreme poverty (%)	Mean income per capita (Bs)	Gini (points)
A. Distributions				
Observed 2018	34.6	15.2	1,355	43.4
Observed 2019	37.2	12.9	1,431	42.7
Observed 2020	39.0	13.7	1,426	45.2
2020 without the pandemic	35.4	12.0	1,507	44.5
2020 without the pandemic, with the cash transfers	33.6	10.8	1,534	43.7
B. Observed minus counterfactual in 2020, and its parts (Shapley values)				
Total	3.68	1.70	−82	0.71
	(0.26)	(0.21)	(3)	(0.09)
Labor income below usual	1.90	0.99	−32	0.64
Absences from work due to the pandemic	0.89	0.37	−24	0.13
Lost employment	2.58	1.57	−49	0.81
COVID-19 deaths	0.13	0.04	−4	0.04
2020 cash transfers	−1.81	−1.26	27	−0.90

Source: author's calculations using the EH 2018 to 2020.

Without the pandemic, 2020 poverty would have been 35.4% (2/2)

The 2020 distribution, observed and without the pandemic

	Moderate poverty (%)	Extreme poverty (%)	Mean income per capita (Bs)	Gini (points)
C. 2020 without the pandemic, other constructions				
Labor income loss from cell means	35.1	12.1	1,521	44.8
Reported labor income loss	25.8	9.0	1,926	45.3
EH 2019 base only	34.2	11.4	1,523	44.0
All reported deaths	35.2	11.9	1,510	44.4

Source: author's calculations using the EH 2018 to 2020.

In rural areas, the 2021 poverty risk did not exceed that of 2019 (1/3)

Poverty risk with fixed characteristics by group, 2018–2022

	People	Risk	2019 minus	Change from 2019 (points)			Remaining (%)	
Group	(%)	2019	2018	2020	2021	2022	2021	2022
Total	100.0	34.5	2.53	3.69	0.66	2.68	17.9	72.6
			(0.83)	(0.96)	(1.05)	(0.81)		
Urban	70.1	28.2	4.25	3.67	1.02	3.62	27.7	98.5
			(0.70)	(0.75)	(0.86)	(0.63)		
Rural	29.9	49.3	−1.50	3.74	−0.17	0.48	−4.7	12.9
			(1.90)	(2.42)	(2.46)	(2.24)		

Source: author's calculations using the EH 2018 to 2022.

In rural areas, the 2021 poverty risk did not exceed that of 2019 (2/3)

Poverty risk with fixed characteristics by group, 2018–2022

	People	Risk	2019 minus	Change from 2019 (points)			Remaining (%)	
Group	(%)	2019	2018	2020	2021	2022	2021	2022
Head with 0 to 8 years of schooling	41.0	44.8	0.85	3.87	1.38	2.12	35.6	54.8
			(1.29)	(1.68)	(1.62)	(1.48)		
Head with 9 to 12 years of schooling	31.3	36.5	4.12	3.45	0.35	4.01	10.2	116.3
			(1.18)	(1.01)	(1.40)	(0.88)		
Head with 13 or more years of schooling	27.7	17.0	3.23	3.69	−0.05	2.00	−1.3	54.1
			(0.67)	(0.88)	(0.97)	(0.75)		
Head under 35	20.8	36.0	2.90	5.11	0.68	4.17	13.3	81.7
			(1.20)	(1.17)	(1.75)	(0.93)		
Head aged 35 to 54	49.5	37.1	3.55	3.18	0.56	2.34	17.7	73.5
			(0.93)	(1.16)	(1.18)	(0.94)		
Head aged 55 or older	29.8	29.1	0.60	3.55	0.82	2.21	23.0	62.1
			(1.15)	(1.33)	(1.18)	(1.14)		

Source: author's calculations using the EH 2018 to 2022.

In rural areas, the 2021 poverty risk did not exceed that of 2019 (3/3)

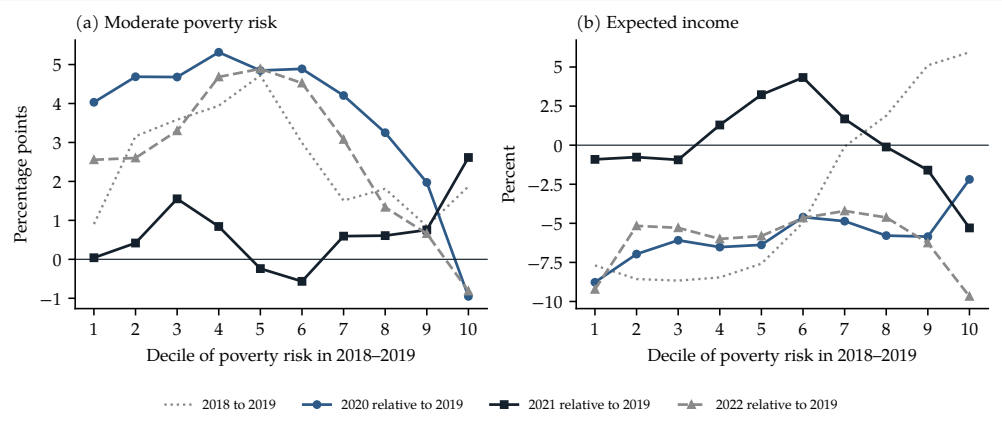
Poverty risk with fixed characteristics by group, 2018–2022

	People	Risk	2019 minus	Change from 2019 (points)			Remaining (%)	
Group	(%)	2019	2018	2020	2021	2022	2021	2022
Prior-risk quintile 1	20.0	8.5	2.03	4.36	0.23	2.58	5.3	59.1
			(0.56)	(0.73)	(0.52)	(0.60)		
Prior-risk quintile 2	20.0	19.7	3.76	5.00	1.20	3.99	24.0	79.9
			(0.86)	(0.87)	(0.92)	(0.96)		
Prior-risk quintile 3	20.0	32.1	3.86	4.87	−0.40	4.71	−8.2	96.7
			(1.17)	(1.11)	(1.34)	(0.95)		
Prior-risk quintile 4	20.0	46.4	1.66	3.73	0.60	2.21	16.1	59.2
			(1.60)	(1.68)	(1.96)	(1.38)		
Prior-risk quintile 5	20.0	65.8	1.36	0.51	1.68	−0.08	–	–
			(1.52)	(2.29)	(2.38)	(2.19)		

Source: author's calculations using the EH 2018 to 2022.

In 2020 risk rose most in the fourth to sixth deciles of risk

Change in poverty risk and expected income with fixed characteristics, by decile of prior risk



Source: author's calculations using the EH 2018 to 2022.

The observed series understates the rise in poverty at fixed characteristics

Decomposition of the change in observed poverty

	2020	2021	2022
Observed moderate poverty (%)	39.0	36.4	37.7
Change from the 2018–2019 average (points)	3.18	0.54	1.87
conditional distribution	4.85	1.78	4.16
composition of predetermined characteristics	−2.20	−1.71	−2.47
residual	0.52	0.47	0.18

Source: author's calculations using the EH 2018 to 2022.

In 2021, 54% of those who died of COVID-19 were aged 18 to 64

COVID-19 deaths as a permanent loss

	EH 2020	EH 2021
COVID-19 deaths (confirmed or with symptoms)	28,531	18,613
aged 18 to 64 (%)	33.1	54.4
Deaths from all causes	63,342	58,345
Households with a COVID-19 death (%)	0.75	0.48
Predicted income of the deceased (2019 Bs per month)	2,953	3,239
% of household income before the death	36.1	44.7
Change in household per capita income (%)	−12.9	−22.8
Households whose per capita income fell (%)	54.6	78.4
Income lost, % of the income of all households	0.50	0.36
COVID-19 deaths in the sample	79	76

Source: author's calculations using the EH 2018 to 2021.

The loss of future earnings is 3.0% in the poorest decile and 1.1% in the ninth

Schooling lost in 2020 and loss of future earnings

	No regular activity, March–July	No activity after closure	Months without activity	With 8.5 months without activity (%)	Loss of future earnings (%)
Total	24.5	55.6	3.3	20.6	2.0
Decile 1	46.9	68.1	4.8	38.6	3.0
Decile 2	37.8	67.9	4.4	34.1	2.7
Decile 3	29.3	62.4	3.8	24.4	2.3
Decile 4	26.7	58.1	3.5	23.0	2.2
Decile 5	19.6	51.2	2.9	15.8	1.8
Decile 6	16.3	52.2	2.8	14.3	1.7
Decile 7	11.8	46.1	2.4	9.4	1.5
Decile 8	9.7	46.7	2.3	7.0	1.4
Decile 9	8.4	35.8	1.8	7.0	1.1
Decile 10	11.1	43.5	2.2	8.2	1.4
Urban	15.2	51.1	2.7	12.8	1.7
Rural	44.5	65.3	4.6	37.3	2.8

Source: author's calculations using the EH 2019 and 2020.

The cash transfers reached 99% of the poorest decile and 80% of the richest

Receipt of the cash transfers by decile (percentage of people)

	2020					2021	
Decile	Any transfer	Bono Familia	Canasta Familiar	Bono Universal	Share of spending	Bono contra el Hambre	Share of spending
1	99.1	75.8	26.1	81.7	10.5	79.4	7.5
2	99.2	68.6	33.9	72.7	10.6	78.1	7.2
3	98.8	71.2	27.6	75.3	10.5	80.9	8.6
4	99.0	71.0	26.5	77.2	10.4	81.3	9.5
5	97.7	65.9	23.8	77.7	10.1	85.6	10.5
6	98.8	61.6	23.1	79.6	10.4	87.2	10.9
7	97.7	58.2	23.6	77.7	10.3	84.3	11.2
8	97.1	59.3	23.0	76.8	10.0	81.0	12.0
9	92.7	43.3	21.3	73.1	9.2	77.3	12.1
10	80.0	28.2	18.5	59.6	8.0	62.6	10.5

Source: author's calculations using the EH 2020 and 2021.

In the boom, rising returns explain 19.6 of the 25.9 points of decline

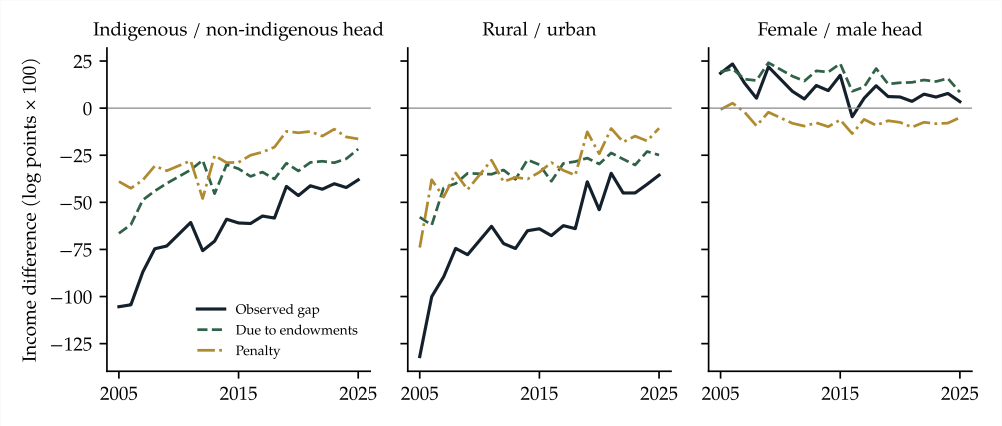
Change in poverty due to endowments, returns and residual, by period and group (percentage points)

	2005–2014				2014–2019				2019–2024				2024–2025			
Group	Total	End.	Ret.	Res.	Total	End.	Ret.	Res.	Total	End.	Ret.	Res.	Total	End.	Ret.	Res.
Total	−25.9	−7.2	−19.6	0.9	−3.2	−4.9	3.3	−1.5	0.9	−3.2	2.9	1.2	4.4	−0.3	4.7	0.0
Urban	−24.5	−7.0	−17.1	−0.4	−0.5	−3.8	5.7	−2.3	0.2	−2.8	1.9	1.1	5.6	−0.4	5.8	0.2
Rural	−25.3	−4.0	−24.7	3.4	−7.9	−6.2	−1.9	0.2	2.1	−4.3	5.2	1.3	1.6	−0.1	2.1	−0.4
Ages 0 to 14	−24.8	−7.8	−18.7	1.7	−1.6	−5.3	4.7	−1.0	1.9	−2.7	2.9	1.6	5.4	−0.3	5.9	−0.2
Ages 60 and over	−25.5	−2.4	−24.1	0.9	−9.4	−5.0	−2.6	−1.9	2.5	−1.8	3.7	0.6	4.4	0.1	4.2	0.2
Women	−24.8	−6.3	−19.4	0.8	−4.0	−5.5	3.2	−1.6	1.1	−3.2	3.0	1.2	4.9	0.1	4.8	0.0
Female-headed households	−22.6	−6.7	−16.2	0.3	−3.4	−2.4	1.3	−2.3	0.5	−4.3	3.5	1.3	6.4	1.8	4.5	0.0
Indigenous head	−26.9	−6.3	−23.2	2.6	−3.3	−2.4	−0.7	−0.2	1.6	−5.3	5.2	1.7	2.9	−0.5	3.7	−0.4
Ages 15 to 59	−25.4	−6.4	−19.4	0.4	−2.4	−4.2	3.6	−1.8	1.1	−2.6	2.7	1.1	4.1	−0.2	4.2	0.1
Men	−26.9	−8.1	−19.8	0.9	−2.4	−4.4	3.4	−1.4	0.7	−3.1	2.7	1.1	3.8	−0.7	4.6	0.0
Male-headed households	−26.5	−7.1	−20.4	1.0	−3.0	−5.6	3.9	−1.3	1.1	−2.7	2.7	1.2	3.7	−1.0	4.7	0.0
Non-indigenous head	−24.1	−6.7	−16.9	−0.4	−0.3	−3.7	5.8	−2.4	0.9	−1.7	1.7	0.9	5.7	0.3	5.2	0.2

Source: author's calculations using the EH 2005–2025.

The rural income gap fell from 131.9 to 35.6 log points in 2005–2025

Income gaps between groups by endowments and penalty, 2005–2025



Source: author's calculations using the EH 2005–2025.

With $s = 0$, all of the 2025 increase came from lower mean endowment income (1/2)

Growth and redistribution of endowment income and of the residual in the change in poverty (points)

	2005–2014	2014–2019	2019–2024	2024–2025	2005–2025
Change in poverty	−25.9 (1.6)	−3.2 (1.3)	0.9 (1.2)	4.4 (1.3)	−23.8 (1.6)
A. Classic decomposition (observed income)					
Growth	−17.2 (2.8)	3.5 (1.6)	1.4 (1.1)	3.0 (1.3)	−11.4 (2.5)
Redistribution	−8.7 (2.4)	−6.7 (1.3)	−0.5 (0.9)	1.4 (1.0)	−12.4 (1.9)
B. Endowment income and residual					
Growth of endowment income	−20.6 (1.5)	−2.2 (0.7)	0.1 (0.7)	4.4 (0.8)	−19.4 (1.3)
Redistribution of endowment income	−6.3 (0.8)	0.6 (0.7)	−0.4 (0.6)	0.0 (0.6)	−6.4 (0.8)
Residual	1.1 (1.1)	−1.6 (0.9)	1.2 (0.7)	0.0 (0.8)	2.0 (1.3)

Source: author's calculations using the EH 2005–2025.

With $s = 0$, all of the 2025 increase came from lower mean endowment income (2/2)

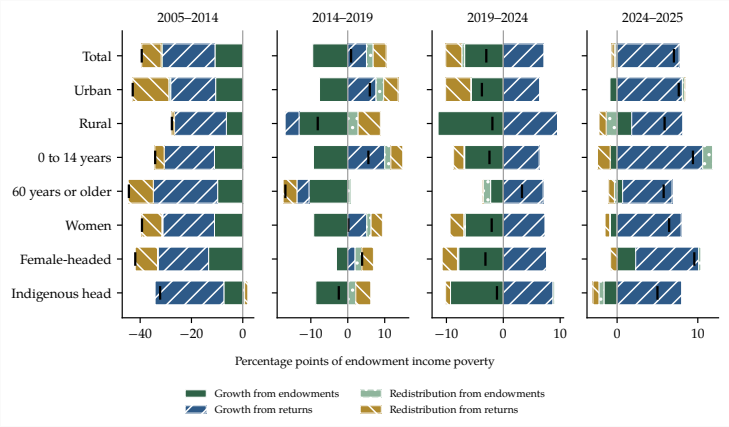
Growth and redistribution of endowment income and of the residual in the change in poverty (points)

	2005–2014	2014–2019	2019–2024	2024–2025	2005–2025
C. Endowment income poverty (endowment income below the line)					
Change in endowment income poverty	−39.4 (1.7)	0.9 (1.5)	−3.0 (1.3)	7.0 (1.5)	−34.4 (1.4)
Growth from endowments	−10.8 (1.6)	−9.5 (1.2)	−6.8 (1.3)	−0.2 (1.2)	−25.0 (1.5)
Growth from returns	−20.6 (0.7)	5.1 (0.3)	7.1 (0.2)	7.7 (0.2)	−3.7 (0.5)
Redistribution from endowments	−0.4 (0.7)	1.8 (0.7)	−0.5 (0.7)	−0.1 (0.7)	−1.7 (0.6)
Redistribution from returns	−7.6 (0.5)	3.5 (0.3)	−2.8 (0.3)	−0.3 (0.2)	−4.1 (0.5)
With 60% of the residual treated as fixed ($s = 0.6$)					
Growth of endowment income	−18.9	−0.7	0.8	4.1	−16.4
Redistribution of endowment income	−7.3	−1.8	−0.4	0.3	−8.3
Residual	0.4	−0.6	0.5	0.0	0.9
Growth from endowments	−6.2	−4.1	−4.0	−0.9	−15.1
Growth from returns	−16.8	3.3	5.0	6.3	−4.2
Redistribution from endowments	−2.4	−3.3	0.0	0.7	−4.7
Redistribution from returns	−6.9	1.9	−1.9	0.5	−4.9

Source: author's calculations using the EH 2005–2025.

In 2025 the fall in the mean return added 7.7 points to endowment poverty

Change in endowment-income poverty by growth and redistribution



Source: author's calculations using the EH 2005–2025.

In 16 municipalities moderate poverty exceeds 60% of the population

The fifteen municipalities with the highest incidence of moderate poverty, 2024

Municipality	Department	Population	Poverty	Extreme	Net loss from the decree
Poroma	Chuquisaca	13,649	65.7	45.4	0.2
Presto	Chuquisaca	12,539	63.3	41.5	0.7
Incahuasi	Chuquisaca	16,484	63.1	41.0	1.3
Tinguipaya	Potosí	28,942	63.1	42.5	−0.7
Tacobamba	Potosí	14,366	62.3	40.8	−0.6
Tarvita	Chuquisaca	16,812	62.1	41.3	0.5
Zudañez	Chuquisaca	13,694	62.1	36.9	1.8
Azurduy	Chuquisaca	7,903	61.7	40.5	0.8
Ckochas	Potosí	14,338	61.2	39.9	−0.5
Tito Yupanqui	La Paz	7,525	61.0	39.3	3.2
San Pedro	Potosí	28,416	61.0	39.2	−0.8
Ravelo	Potosí	16,909	60.7	38.8	−1.0
Icla	Chuquisaca	9,155	60.6	39.3	0.7
Ocurí	Potosí	14,532	60.4	37.0	−0.8
Caripuyo	Potosí	8,458	60.3	36.5	−0.9

Source: author's calculations using the 2024 Census and the EH 2024 and 2025.

In 224 municipalities poverty and deprivation exceed the national average

Municipalities by income poverty and service deprivation, 2024

Municipality group	Municipalities	Population (%)	Poverty (%)	Deprivation (%)	Indigenous head (%)
Poor and deprived	224	27.4	50.7	26.2	80.2
Poor, not deprived	25	18.9	42.9	3.3	57.0
Deprived, not poor	38	5.6	34.7	14.2	42.2
Neither poor nor deprived	56	48.0	29.7	1.7	24.3
Total	343	100.0	38.2	9.4	46.8

Source: author's calculations using the 2024 Census and the EH 2024.

The poorest 40% received 36.3% of Renta Dignidad spending

Renta Dignidad and Bono Juancito Pinto by decile of per capita income, EH 2025

Decile	People in households with Renta Dignidad (%)	% of the Renta Dignidad amount	Renta Dignidad / income (%)	People in households with Juancito Pinto (%)	% of Juancito Pinto recipients
1	22.2	8.3	10.5	71.9	14.4
2	21.4	10.4	7.8	71.6	14.1
3	19.6	9.5	5.2	67.6	13.2
4	19.6	8.0	3.5	66.7	12.9
5	22.2	8.4	3.0	60.8	11.4
6	22.4	8.6	2.4	57.2	10.2
7	22.3	8.6	2.0	47.1	8.4
8	26.8	11.2	2.1	42.0	7.2
9	28.9	12.5	1.8	28.5	5.0
10	30.9	14.4	1.3	17.7	3.1

Source: author's calculations using the EH 2025.

With least squares, the ranking of the transfer designs does not change

Transfer designs with the 2026 budget, income predicted by least squares

Design	Moderate poverty (points)	Squared gap (points)	Extreme poverty (points)	% of amount to the poor	% of amount to the top half	Poor excluded (%)	Non-poor recipients (%)
2026 transfers as paid	−0.81	−0.59	−1.29	50	45	15	45
Universal per person	−0.64	−0.60	−1.03	47	50	0	53
Per child under 18	−0.79	−0.79	−1.24	60	36	24	43
Proxy means test, bottom 30%	−0.62	−1.27	−2.31	84	13	47	16
Compensation of the predicted loss	−0.55	−0.32	−0.61	28	70	10	55
Gap filling on predicted income	−0.42	−1.57	−2.35	94	3	77	7
Benchmark: compensation of the observed loss	−0.38	−0.37	−0.40	23	76	4	53
Benchmark: gap filling with observed income	0.00	−2.53	0.00	100	0	78	0

Source: common accounting; EH 2025.

No design matches the 2026 reduction in moderate poverty with less spending

Budget each design needs to match the 2026 transfers

Rule	Squared gap		Moderate poverty	
	% of amount paid	% of GDP	% of amount paid	% of GDP
Universal per person	99	0.54	120	0.66
Proxy means test, bottom 30%	45	0.25	134	0.74
Compensation of the predicted loss	162	0.89	150	0.83
Gap filling, predicted income	30	0.16	182	1.00

Source: common accounting; EH 2025.

In 2020 gap filling would have reduced severity equally with 24% of the spending

Targeting rules with the budget of the cash transfers, 2020 pandemic

Rule	Moderate poverty	Squared gap	% of amount to the poor
No transfers	40.9	10.03	
2020 cash transfers as paid	39.0	8.79	43
Universal per person	39.0	8.84	41
Proxy means test	38.7	7.76	69
Compensation of the predicted loss	39.3	9.26	33
Gap filling, predicted income	39.3	6.51	90
Gap filling, estimated distribution	38.7	6.71	84
Same, model estimated in 2025	38.7	6.80	82
Benchmark: gap filling with observed income	40.9	5.21	100

Source: author's calculations using the EH 2018 to 2020.